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Test – 28

Economics

Topics covered:

- External sector in India
- Taxation and Public finance in India
- Important international economic organisation Important Indian economic bodies, acts
- Reposts, Index etc.
- Poverty and Unemployment
- Current Affairs October 2021



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DEDICATED PRELIM PROGRAM(DPP)

UPSC-CSE PRELIMINARY TEST SERIES – 2021/2022

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TEST BOOKLET SERIES

Test Code:

DPP

TEST BOOKLET

GENERAL STUDIES

TEST - 28

E 28

Time Allowed: Two Hours

Maximum Marks : 200

INSTRUCTIONS

1. IMMEDIATELY AFTER THE COMMENCEMENT OF THE EXAMINATION, YOU SHOULD CHECK THAT THIS TEST BOOKLET DOES NOT HAVE ANY UNPRINTED OR TORN OR MISSING PAGES OR ITEMS, ETC.

2. ENCODE CLEARLY THE TEST BOOKLET SERIES CODE A, B, C OR D AS THE CASE MAY BE IN THE APPROPRIATE PLACE IN THE ANSWER SHEET.

3. You have to enter your Roll Number on the Test Booklet in the provided alongside this line. DO NOT write anything else on the Test Booklet.

4. This Test Booklet contains 100 questions. Each question is printed in English. Each item comprises four responses (answers). You will select the response which you want to mark on the Answer Sheet. In case you feel that there is more than one correct response, mark the response which you consider the best. In any case, choose ONLY ONE response for each item.

5. All items carry equal marks.

6. Penalty for wrong answers:

THERE WILL BE PENALTY FOR WRONG ANSWERS MARKED BY A CANDIDATE IN THE OBJECTIVE TYPE QUESTION PAPERS.

- I. There are four alternatives for the answer to every question. For each question for which a wrong answer has been given by the candidate, One-Third of the marks assigned to that question will be deducted as penalty.
- II. If a candidate gives more than one answer, it will be treated as a wrong answer even if one of the given answers happens to be correct and there will be same penalty as above to that question.
- III. If a question is left blank, i.e., no answer is given by the candidate, there will be no penalty for that question.

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TOPICS COVERED: External sector in India, Taxation and Public finance in India, Important international economic organisation Important Indian economic bodies, act, Reports, Index etc, Poverty and Unemployment, Current Affairs October 2021



Q.1) Consider the following statements regarding Special Drawing Rights (SDR) of IMF:

1. The value of SDRs are immune from daily exchange rate fluctuations.
2. The least weightage is accorded to the latest currency added to the SDR basket.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.2) Consider the following statements:

1. The Blue Box subsidies are not trade distorting while the green box subsidies are specially designed to minimize trade distortions.
2. The per farmer Amber Box subsidy in India is less as compared to the same given in the developed countries.
3. The De-minimis entitlement of the subsidy under the Amber Box applies to both the developed and developing countries.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only

Q.3) Consider the following factors:

1. Fear of currency war.
2. Dear Money policy of USA's federal reserves.
3. Stiff competition by stock markets around the world.
4. Rise in crude oil prices.

Which of the above factors are responsible for the fall in India's forex reserves?

- a) 1, 2, and 3 only
- b) 1, 3, and 4 only
- c) 3 and 4 only
- d) 1, 2, 3, and 4 only

Q.4) In relation to the Exchange rate system followed by India, which of the statements given below is/are correct?

1. India follows a dual exchange rate system consisting of the official and the market rates.

2. The official exchange rate of India has a direct bearing on the market exchange rate.

Select the correct answer using the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.5) Consider the following statements:

1. The appreciation and depreciation of a currency is a feature of the floating exchange rate regime.
2. The official annual rate of appreciation and depreciation of an asset are fixed by a country.
3. The concept of deficit and surplus exists only in relation to the Current Account.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2, and 3

Q.6) In relation to the Extended Fund Facility of the IMF, which of the statements given below is most appropriate?

- a) It is the additional money that can be raised by a member country from the IMF and is pegged at five times its SDR quota.
- b) It is a form of loan raised amongst the member countries with each other without any collateral.
- c) It refers to any amount of money raised by a member country to deal with the BoP crisis subject to the fulfilment of certain pre-conditions.
- d) It refers to interest free loans raised from the IMF to deal with the BoP crisis on the fulfillment of certain pre-conditions.

Q.7) Consider the following pairs:

Currency	Feature
1. Hard currency	Least liquidity
2. Soft currency	Easily available
3. Heated Currency	Currency under depreciation
4. Cheap Currency	Currency with the public

Which of the statements given above is/are correctly matched?

- a) 1, 2, and 3 only



- b) 2, 3, and 4 only
- c) 1, 3, and 4 only
- d) 1, 2, and 4 only

Q.8) Consider the following statements regarding SEZ (Special Economic Zones):

1. They can be created by the Centre and the state governments only.
2. The creation of SEZs is not permitted in the agricultural sector.
3. There cannot be a common use of the commercial infrastructure between a SEZ and a non SEZ entity.

Which of the statements given above is/are incorrect?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2, and 3

Q.9) Consider the following statements regarding E-commerce:

1. A 100% FDI is permitted in the market-place based E-commerce models.
2. In a marketplace-based model, the seller and platform owner are separate entities.
3. The recent e-commerce rules, 2020 are applicable only to the market-place based operators.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2, and 3

Q.10) Consider the following statements:

1. Cabinet Committee on Economic Affairs approves FDI from the countries sharing borders with India.
2. Invest India's NIRVIC Scheme aims at boosting exports and increasing investment in India.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.11) Consider the following statements on the impact of global trade in the light of COVID pandemic:

1. The contraction in trade and GDP was more severe for the Advanced Economies than for the Emerging Markets and Developing Economies.
2. Corporate defaults on loans coupled by widening fiscal deficit have increased the vulnerability for the global economy.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.12) Consider the following statements regarding the pharmaceutical sector of India:

1. India's pharmaceutical industry is third largest in the world in terms of volume and value.
2. Drug formulations and biologicals are the second largest exported commodity in the Merchandise exports.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.13) Consider the following statements regarding trade agreements:

1. The Comprehensive Economic Partnership Agreement is an example of a common market with common currency and tariffs.
2. In a Custom union, members apply a common external tariff for non-member countries.
3. The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) is the revised TPP after the withdrawal of the USA.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2, and 3

Q.14) Consider the following statements:



1. The membership BIMSTEC is composed of all SAARC countries excluding Pakistan.

2. Mekong Ganga cooperation is an agreement between India and all countries through which Mekong flows.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.15) In the context of D 10 countries, which of the statements given below is/are correct?

1. It is a USA proposed grouping to foster free trade with the Asian countries.

2. It is a group of three democratic countries along with the G7.

3. One of its aims is to surpass China for the supply of 5G technologies.

3. Australia, India, and Japan are the three democratic countries part of it outside G7

Select the correct answer using the codes given below:

- a) 1 and 2 only
- b) 2 and 3 only
- c) 3 and 4 only
- d) 1 and 4 only

Q.16) Consider the following groupings:

1. Asian Pacific Economic Cooperation.

2. Indian Ocean Rim Association.

3. Organization for Economic Co-operation and Development.

4. South Asian Free Trade Area.

Which of the above groupings does not include India as its member?

- a) 3 only
- b) 1, 2, and 3 only
- c) 1 and 3 only
- d) 2 and 4 only

Q.17) In the context of the Cairns grouping, which of the statements given below is/are incorrect?

1. It is a group of agricultural exporting nations demanding liberalization of agricultural trade.

2. India is a founding member of the group owing to its maximum population employed in the sector.

Select the correct answer using the codes given below:

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.18) Consider the following statements:

1. Data Free flow with Trust is an initiative of G 20 countries.

2. JAI comprising Japan, Australia, and India was formed on the sidelines of Buenos Aires summit of G 20.

3. Regional Anti- terrorist Structure is an important component of the SCO.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2, and 3

Q.19) Maastricht Treaty and the Digital Single Market Strategy often seen in news are related to?

- a) European Commission
- b) Eurozone
- c) European Union
- d) Schengen Area

Q.20) Consider the following statements:

1. Exports from the countries under the Generalized System of Preferences List are subjected to lower import tariffs on all commodities.

2. Global system of Trade preferences is a trade agreement among the developed nations of the world.

Which of the statements given above is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.21) In context of public finance in India, consider the following:

1. Securities issued against Small savings funds

2. Market Stabilization Scheme Bonds

3. Securities issued to International Monetary Fund (IMF)

Which of these is/are component(s) of internal debt?



- a) 1 only
- b) 1 and 2 only
- c) 2 only
- d) 1, 2 and 3

Q.22) The government's deficit excluding the interest payment on the previous debt is

- a) Primary Deficit
- b) Budget Deficit
- c) Fiscal Deficit
- d) Revenue Deficit

Q.23) Consider the following:

1. Revenue Deficit
2. Capital Expenditure
3. Effective Revenue Deficit

Grants or expenditure used for creation of Assets are calculated under which of the given heads?

- a) 1 and 3 only
- b) 2 only
- c) 2 and 3 only
- d) 3 only

Q.24) In context of the Public Finance in India, consider the following statements:

1. A large share of revenue deficit in the fiscal deficit indicates that a large part of borrowing is being used for investment
2. Revenue deficit in the economy cannot be eliminated

Which of the given statement(s) is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.25) Consider the following statements about the recently formed Consumer Welfare Fund:

1. The Consumer Welfare Fund was set up under the Consumer Protection Act, 2019
2. The fund has been set up by the Department of Consumer Affairs (Ministry of Consumer Affairs, Food & Public Distribution).

Which of the given statement(s) is/are correct?

- a) 1 only

- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.26) Recently, the government has proposed to introduce a Buy Back Tax on companies, which of the following is *incorrect* about the buyback of shares?

- a) Companies resort to the buyback of shares to escape the capital gains tax
- b) Buyback helps in improving the earnings per share for continuing shareholders and perks up the return on equity
- c) It can also be done when the promoters want to hike their stake in the company, sometimes to avoid any takeover threats
- d) In a buyback company repurchases a certain amount of its outstanding shares and extinguishes them once taken back

Q.27) Consider the following:

1. Fiscal Deficit
2. Revenue Deficit
3. Primary Deficit

Which of the following deficit(s) focuses only on the present fiscal imbalances?

- a) 1 and 2 only
- b) 1 only
- c) 2 and 3 only
- d) 3 only

Q.28) Recently, the G7 countries signed an accord for the Global Minimum Corporate Tax. It will help in resolving which of the following issues?

- a) Transfer Pricing of the Multinational Corporations
- b) Investments will flow equally to low income countries
- c) Reduce corporate corruption in India
- d) Reduce Base erosion and profit shifting of MNCs

Q.29) Consider the following with reference to Indian Tax System:

1. Corporation Tax
2. Dividends Distribution Tax
3. Minimum Alternative Tax
4. Stamp Duty



Which of the following is/are direct tax(es) applicable to private sector companies in India?

- a) 1 and 2 only
- b) 2, 3 and 4 only
- c) 1 and 3 only
- d) 1, 2 and 3 only

Q.30) Which of the following is not one of the four critical reforms, on the implementation of which the states will be allowed to additionally borrow over their current liabilities?

- a) Water and Sanitation Reforms
- b) Power Sector Reforms
- c) Ease of doing business Reforms
- d) One Nation One Ration Card

Q.31) Consider the following transactions:

- 1. Investment in Mutual Funds
- 2. Buying an immovable property which is under construction
- 3. Transfer of shares and debentures

The stamp duty will be applicable on which of the given transaction(s)?

- a) 1 and 2 only
- b) 2 only
- c) 1, 2 and 3
- d) None of the above

Q.32) Consider the following statements with reference to the Composition Levy:

- 1. Composition Levy is an alternative method of levy of direct tax designed for small businesses whose turnover is up to Rs. 1.5 crore
- 2. The small businesses can avail to input tax credits after the payment of the composition levy

Which of the given statement(s) is/are incorrect?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.33) Consider the following statements with reference to the Goods and Services Tax Compensation Cess:

- 1. To compensate states, a new tax, offsetting the revenue losses and proceeds from which will be transferred to the states has been introduced
- 2. In the present design of GST, there is no provision for revenue compensation for the Union government.

Which of the given statement(s) is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.34) Which of the given statements is not correct regarding the tax system of India?

- 1. According to the Article 265, no tax should be levied/collected except the authority of the law
- 2. When the government reduces taxes during the recession period, it is said to be following a pro-cyclical fiscal policy
- 3. The Goods and Services tax(GST) is a consumption and destination based indirect tax
- 4. GST being a value added tax, its collection will increase with the increase in the Nominal Gross Domestic Product (GDP)

Select the correct answer using the codes given below:

- a) 1 and 2 only
- b) 2 only
- c) 2 and 4 only
- d) 1 and 3 only

Q.35) Consider the following statements with respect to the Fiscal Responsibility and Budget Management Act, 2003:

- 1. The Comptroller and Auditor General of India shall review, on a half-yearly basis, the trends in receipts and expenditure in relation to the budget and place before both Houses of Parliament the outcome of such reviews
- 2. According to the Budget 2021-22, the government is planning to continue on the path of fiscal consolidation, achieving a fiscal deficit level below 4.5% of GDP by 2025-2026

Which of the given statement(s) is/are correct?

- a) 1 only
- b) 2 only



- c) Both 1 and 2
- d) Neither 1 nor 2

Q.36) Which of the following document(s) is/are published while presenting the Union Budget?

1. Fiscal Policy Strategy Statement
2. Medium-Term expenditure Framework Statement
3. Annual Financial Statement
4. Demand for Grants
5. Supplementary Demand for grants

Select the correct answer using the codes given below:

- a) 1, 3, 4 and 5 only
- b) 1, 2, 3 and 5 only
- c) 1, 2, 3 and 4 only
- d) 1, 3 and 4 only

Q.37) Consider the following:

1. Agricultural implements
2. Silkworm laying cocoon
3. Processed fish
4. Raw silk
5. Electricity

Which of the following good(s) is/are exempted from the application of the Goods and Services Tax?

- a) 1, 4 and 5 only
- b) 2, 4 and 5 only
- c) 2, 3 and 4 only
- d) 1, 3 and 4 only

Q.38) Which of the following statements is not correct with respect to off Budget or extra budgetary borrowings?

- a) Off budget borrowings are not added to the fiscal deficit
- b) These borrowings are not a part of total government debt, however the interest payments on these are paid through the Consolidated fund of India
- c) Outstanding extra-budgetary liabilities need to be clearly identified and eliminated in a time-bound manner as per the amended FRBM Act of 2018
- d) Off-budget borrowings are loans that are taken not by the Centre directly, but by another public institution which borrows on the directions of the central government

Q.39) Consider the following statements:

Most of India's external debt is short term in nature
Commercial borrowings form the largest component of India's external debt

Which of the statement(s) given above is /are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.40) Which one of the following committees/commission has recommended the establishment of an independent fiscal council?

- a) Narsimhan committee
- b) Abid Hussain Committee
- c) XIV Finance Commission
- d) XV Finance Commission

Q.41) Consider the following statements about the debt sustainability of the Indian economy:

1. As far as the economy is growing at a higher rate the difference between the interest rate on debt and growth rate will be negative in most of the cases
2. Debt is sustainable if the interest rate on debt is more than the growth rate of the economy

Which of the given statement(s) is/are correct?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.42) Consider the following statements with reference to the equalization levy:

1. Equalization levy has been introduced under the Income Tax Act, 1961 to tax foreign companies which have a significant local base
2. It is a direct tax levied on the profits made by the companies like Google, Amazon
3. Equalization levy is applicable to foreign companies which have a tangible presence in India

Which of the following statement(s) is/are incorrect?

- a) 1 only



- b) 2 and 3 only
- c) 3 only
- d) 1, 2 and 3

Q.43) The term 'escape clause' is often seen in news in context of

- a) Related to base erosion and profit shifting
- b) Related to interest subvention scheme for exporters
- c) Related to climate action plan passed in Paris agreement
- d) Related to fiscal responsibility and budget management act

Q.44) With reference to the Fugitive Economic Offenders Act, 2018, consider the following statements.

1. A Fugitive Economic Offender is a person against whom an arrest warrant has been issued for committing any offence listed in the Act, and the value of the offence is at least Rs 1000 crore.
2. The Department of Economic Affairs in collaboration with the Ministry of Finance may declare a person as a Fugitive Economic Offender.
3. There is provision of confiscation of properties of a Fugitive Economic Offender which are proceeds of crime, Benami properties and any other properties both in India and abroad.

Which of the statements given above is/are correct ?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 3 only
- d) 1, 2 and 3

Q.45) With reference to The Bilateral Netting of Qualified Financial Contracts Act, 2020, consider the following statements.

1. Bilateral netting is a legally enforceable arrangement between a bank and a counterparty that creates a single legal obligation covering all included individual contracts.
2. The provisions of the bill will apply to Qualified Financial Contracts between two qualified financial market participants where at least one party is an

entity regulated by the specified authorities RBI, SEBI, IRDAI, PFRDA or the IFSCA.

Which of the statements given above is/are correct ?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.46) In the context of Stock Exchanges, the term 'Demutualisation' refers to as,

- a) Transfer of shares from the brokers to the public.
- b) Sudden fall of prices of the commodities.
- c) Process of cooperative approach in managing the shares.
- d) Trade executed in the share market that is settled without the approval of a party in question.

Q.47) Which among the following statements is incorrectly mentioned with respect to the Securities and Exchange Board of India ?

- a) It can draft regulations, conduct inquiries, pass rulings and impose penalties.
- b) Autonomous organization accountable to the Parliament of India.
- c) Securities Appellate Tribunal (SAT) constituted to protect the interest of entities that feel aggrieved by SEBI's decision can also hear and dispose of appeals against orders passed by the Insurance Regulatory Development Authority of India (IRDAI) under the Insurance act, 1938.
- d) Chairman of SEBI is nominated by the Union Finance Ministry with consultation with the RBI.

Q.48) Which among the following statements is incorrectly mentioned relating to the provisions of NABARD ?

- a) Committee to Review the Arrangements For Institutional Credit for Agriculture and Rural Development (CRAFICARD) under the chairmanship of B. Sivaraman recommended the formation of NABARD.
- b) Non-financial interventions, innovations, technology and institutional development for securing



prosperity are among the main objectives of NABARD.

- c) Facilitate credit flow for promotion and development of agriculture and agricultural related industry only.
- d) 'Achieving Nutritional Security in India: Vision 2030' report was recently released by it.

Q.49) Which of the following schemes are financed by NABARD?

- 1. Paramparagat Krishi Vikas Yojana.
- 2. Dairy Entrepreneurship Development Scheme
- 3. Commercial production units of organic inputs scheme
- 4. Interest Subvention Scheme
- 5. National Livestock Mission.

Select the correct answer from the codes given below:

- a) 1, 2, 3 and 4 only
- b) 1 and 2 only
- c) 2, 3, 4 and 5 only
- d) 1, 2, 3, 4 and 5.

Q.50) Consider the following statements about Goods and Service Tax.

- 1. The GST Bill was first introduced in 2014 as The Constitution (122nd Amendment) Bill.
- 2. The Union Finance Minister is the Chairperson of the GST council that is formed by the President of India.
- 3. Recent amendments in the GST Act made generating e-Invoices mandatory for companies having turnover of more than 50 crore.

Select the correct answer using the codes given below:

- a) 1 and 2 only
- b) 1 only
- c) 2 only
- d) 1, 2 and 3

Q.51) Which of the following food items does not come under the ambit of Goods and Service tax (GST) ?

- 1. Milk in Tetra Pack
- 2. Cereals
- 3. Packed Paratha
- 4. Tender coconut
- 5. Plain roti/chapati

- 6. Frozen fish products
- 7. Tea leaves

Select the correct answer using the codes given below :

- a) 1, 2, 4, 5 and 7 only
- b) 2, 4 and 7 only
- c) 3, 4, 5 and 6 only
- d) 3, 5 and 7 only

Q.52) Which of the following are the functions of the Reserve Bank of India ?

- 1. The RBI shall recommend the denominational values of the notes as well as the discontinuance of issue of notes.
- 2. RBI sells the foreign currency in the foreign exchange market when its supply decreases in the economy and vice-versa.
- 3. Setting of Inflation targeting.
- 4. Maintaining price stability in the economy.

Select the correct answer using the codes given below :

- a) 1, 2 and 3 only
- b) 2 and 3 only
- c) 1, 2 and 4 only
- d) 1 and 4 only

Q.53) Which of the following matters of the Commercial Banks are regulated by the Reserve Bank of India ?

- 1. Controlling credit creation by commercial banks.
- 2. Merger and winding up of commercial banks.
- 3. Appointment of the board and its chairman of a commercial bank.

Select the correct answer using the codes given below :

- a) 1 only
- b) 1 and 2 only
- c) 3 only
- d) 1, 2 and 3

Q.54) Which of the following provisions is/are amended in the present Companies Act, then that of Companies Act of 1956 ?

- 1. Shareholders permitted for a private company increased.
- 2. A single person can start a company.
- 3. Decreasing the limit on maximum partners.
- 4. Duties of the director of a company is defined.



Select the correct answer using the codes given below :

- a) 1, 2 and 4 only
- b) 3 only
- c) 2, 3 and 4 only
- d) 1, 2, 3 and 4

Q.55) Which among the following index/reports are published by the NITI Aayog ?

- 1. Health Index of India.
- 2. Agricultural Marketing and Farmer Friendly Reform Index.
- 3. State rooftop solar attractiveness Index.
- 4. Composite water management Index.
- 5. Sustainable Tourism in the Himalayan Region.
- 6. Digital Payments Trends, Issues and Opportunities.

Select the correct answer from the codes given below:

- a) 1, 2, 3 and 5 only
- b) 3, 4, 5 and 6 only
- c) 1, 2, 4, 5 and 6 only
- d) 1, 2, 3, 4, 5 and 6.

Q.57) 'New Arrangement to Borrow (NAB)', is related to which of the following organisations?

- a) International Monetary Fund
- b) World Bank
- c) NITI Aayog
- d) New Development Bank.

Q.58) Which of the following statements is incorrectly mentioned with respect to Asian Development Bank ?

- a) China holds the largest share in Asian Development Bank followed by India.
- b) To eradicate extreme poverty is one of the main goals.
- c) Resolution passed by the United Nations Economic Commission for Asia and the Far East in 1963 resulted in the formation of Asian Development Bank.
- d) Board of Governors is the highest policy making body of Asian Development Bank and consists of members from outside Asia region also.

Q.59) With reference to Asian Infrastructure and Investment Bank, consider the following statements:

- 1. The bank allows non-sovereign entities to apply for membership.
- 2. It enjoys a Permanent Observer Status in the United Nation.

Which of the above given statements is/are correct ?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.60) Which of the following statements is correct about the New Development Bank ?

- a) During the sixth BRICS Summit in Fortaleza (2014), the BRICS leaders signed the Agreement establishing the New Development Bank (NDB).
- b) New Development Bank assigns votes based on capital share.
- c) As per Fortaleza Declaration, the New Development Bank Africa Regional Center shall be established in Brazil concurrently with the headquarters in Shanghai.
- d) Recently it confirmed financing for the 'Assam Intra-State Transmission System Enhancement Project', for building power supply infrastructure in Indian state of Assam.

Q.61) Which of the following organizations in India publishes the Housing Price Index ?

- a) Housing Development Finance Corporation
- b) NITI Aayog
- c) National Housing Bank
- d) Reserve bank of India.

Q.62) Which of the following statements is incorrect with respect to the International Bank for Reconstruction and Development (IBRD) ?

- a) It is the lending arm of the World Bank Group and offers loans to middle-income developing countries.
- b) The bank can finance any projects that increase economic activity and are responsible for eliminating poverty.
- c) India has been the single largest borrower of the Bank.
- d) IBRD has maintained a triple-A rating since 1959.



Q.63) 'International Poverty Line' is a concept given and set by which of the following organizations ?

- a) World Bank
- b) International Monetary Fund
- c) United Nations Development Programme
- d) International Labour Organization.

Q.64) Poverty trap can be defined as;

- a) a mechanism that forces people to remain poor.
- b) a situation where people working informally, without proper job contracts and thus sans any legal protection
- c) fudging with data relating to poverty to gain cheap and long term credit.
- d) criteria for the World Bank to invest in projects to invest in underdeveloped countries.

Q.65) With reference to the Gini Coefficient, consider the following statements;

- 1. A value of 0 indicates perfect equality (where everybody has the same wealth/income) and 1 indicates perfect inequality (that is, where one person owns all the wealth in a country).
- 2. The Gini Coefficient is given by the World Bank.

Which of the above given statements is/are correct ?

- a) 1 only
- b) 2 only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.66) Which of the following is/are related to the Estimation of Poverty in India ?

- 1. Rangarajan Committee.
- 2. Tendulkar Committee.
- 3. NSSO's Mixed Recall Period.
- 4. Dr V.M Dandekar and Nilkantha Rath Committee.
- 5. Alagh Committee.
- 6. Lakdawala Committee.

Select the correct answer using the codes given below:

- a) 1, 2 and 6 only
- b) 2, 3, 4 and 5 only
- c) 4, 5 and 6 only
- d) 1, 2, 3, 4, 5 and 6

Q.67) "In a developing economy initially the inequality will increase and with increase in growth the

inequality will come down" - mentioned in which of the following economic curves ?

- a) Lorenz Curve
- b) Laffer Curve
- c) Kuznet Curve
- d) Engel Curve

Q.68) A graphical representation of unemployment levels and wages when presented in local terms or for a specific region is known as which curve ?

- a) Phillips Curve
- b) Wage Curve
- c) Beveridge Curve
- d) Rahn Curve

Q.69) National Sample Survey Organization (NSSO) defines employment and unemployment on which of the following activity statuses of an individual ?

- 1. Employed
- 2. Unemployed and trying for employment
- 3. Not engaged in any economic activity.

Which of the above is/are correct ?

- a) 1 and 2 only
- b) 1 only
- c) 2 only
- d) 1, 2 and 3

Q.70) Unemployment Trap can be defined as the condition as;

- a) a situation where for the betterment of employment opportunity one loses a fixed employment.
- b) losing employment opportunities for the sake of getting the appropriate employment suited to one's capability.
- c) a situation when unemployment benefits discourage the unemployed to go to work.
- d) unavailability of any kind of employment which leads to natural unemployment.



Q.71) Consider the following statements regarding the 'Langa-Manganiyar Community':

- 1 The Langa-Manganiyar artists are related to West Bengal and Odisha.
- 2 Langa and Manganiyar are hereditary communities of Muslim musicians.
- 3 Their songs are in praise of Hindu deities and they also perform songs of saint-poets like Meera, Kabir, Surdas, Dadu.

Which of the statements given above is/are correct?

- a) 1 only
- b) 1 and 2 only
- c) 2 only
- d) 2 and 3 only

Q.72) Recently NITI Aayog has launched the 'State Nutrition Profiles' for 19 States and Union Territories. Which among the following institutions have contributed to this ?

- 1 International Food Policy Research Institute (IFPRI)
- 2 Indian Institute of Population Sciences (IIPS)
- 3 United Nations Children's Fund (UNICEF)
- 4 Institute of Economic Growth (IEG)

Select the correct answer using the codes given below.

- a) 1, 2 and 3 only
- b) 2, 3 and 4 only
- c) 1, 3 and 4 only
- d) 1, 2, 3, 4

Q.73) Consider the following statements regarding the lunar mission of china:

- 1 The crewed Chinese probe touched down on a previously unvisited part of a massive lava plain, the Oceanus Procellarum or Oceans of Storms.
- 2 Remnants of solidified lava brought back by the Chinese mission are 1 billion years younger than material acquired by other missions.
- 3 The Chang'e-5 mission made China the fourth country to have ever retrieved lunar samples after the United States, the Soviet Union and Japan.

Which of the statements given above is/are Incorrect?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only

- d) 1, 2 and 3

Q.74) Consider the following statements regarding Gene modified crops in india:

- 1 Bt cotton was the first commercially used gene modified crop in india.
- 2 India is the second largest exporter of the gene-modified rice after China.

Which of the statements given above is/are correct?

- a) 1 Only
- b) 2 Only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.75) 'Yokohama Strategy' is related to which one of the following ?

- a) To make Primary Healthcare available for all
- b) Disaster Risk Reduction
- c) Anti-terror strategy at global level
- d) Global alliance to fight online child sexual abuse

Q.76) Which of the following comic book character has been declared as the mascot for the Namami Gange Program?

- a) Chacha Chaudhary
- b) Chhota Bheem
- c) Shaktimaan
- d) Baal Veer

Q.77) The United Nations Security Council has primary responsibility for the maintenance of international peace and security. Consider the following with respect to the UNSC Presidency.

1. The presidency of the Council is held by each of both permanent & non-permanent members in turn for one month
2. The executive head of the country in the Presidency is known as the President of the UNSC for that month.
3. Recently, India has assumed the rotating Presidency of the UNSC for the first time.

Which of the statements given above is/ are correct?

- a) 1 only
- b) 2 and 3 only
- c) 1 and 3 only



d) None

Q.78) Consider the following statements regarding 'Direct Seeded Rice(DSR) technique':

1. It involves sowing 'pre-germinated' seed into a puddled soil surface, standing water or dry seeding into a prepared seedbed.
2. The disadvantage of this technique is that this is a labour intensive process.

Which of the statements given above is/are correct?

- a) 1 Only
- b) 2 Only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.79) Bharat Mata Painting, which depicts a saffron clad woman, dressed like a sadhvi, holding a book, sheaves of paddy, a piece of white cloth and a rudraksha garland in her four hands, is a work of whom of the following?

- a) Abanindranath Tagore
- b) Raja Ravi Verma
- c) Nandalal Bose
- d) Jamini Roy

Q.80) Recently government of India has launched e-RUPI, Consider the following statements regarding it:

- 1 It is a digital currency launched by India in line with bitcoin, using blockchain technology.
- 2 It has been developed in collaboration with the Department of Financial Services, Ministry of Health & Family Welfare and National Health Authority and is powered by National Payments Corporation of India (NPCI).

Which of the statements given above is/are correct?

- a) 1 Only
- b) 2 Only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.81) With reference to 'Ubharte Sitaare Fund', consider the following statements:

- 1 The fund is sponsored by Small Industries Development Bank of India(SIDBI) and Export-Import Bank of India(EXIM Bank).

2 It was created with the purpose to promote Indian art and culture at the global level.

Which of the statements given above is/are correct?

- a) 1 Only
- b) 2 Only
- c) Both 1 and 2
- d) Neither 1 nor 2

Q.82) The PESA Act conferred absolute powers to the Gram Sabha, whereas the state legislature was given an advisory role to ensure the proper functioning of Panchayats and Gram Sabhas. In this regard, Which of the following powers and functions have been provided to Gram Sabhas by the PESA act?

1. Protection of traditional belief, the culture of the tribal communities
2. Exercise of control over money-lending
3. Prevention of land alienation
4. Management and protection of the common properties based on their traditions

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1,2 and 3 only
- d) all the above

Q.83) Consider the following pairs with reference to 'Projects in news' and their respective 'States':

Project	State
1. Pulichintala Project	Andhra Pradesh
2. Tapovan Project	Uttar Pradesh
3. Karcham Wangtoo Hydroelectric Plant	Himachal Pradesh



4. Jangi Thopan Powari Uttarakhand
Hydroelectric Project
Plant

Which of the above pairs is/are correctly matched?

- a) 1 and 2 only
- b) 2 and 4 only
- c) 1 and 3 only
- d) 2 and 3 only

Q.84) 'SAMRIDH Programme', which was recently launched aims at-

- a) It aims at mental health outreach for children who are abandoned and orphaned, child survivors of trafficking, or in conflict with law.
- b) It aims to create a conducive platform to Indian Software Product start-ups to enhance their products and secure investments for scaling their business
- c) It aims to ensure that eligible target groups are provided with the skill development training programmes of the Short Term Training Program, Upskilling/Reskilling, Entrepreneurship Development Programme, and Long Term Training Programme.
- d) It aims to register 38 crore unorganised workers such as construction labourers, migrant workforce, street vendors, and domestic workers, among others.

Q.85) Consider the following pairs with reference to 'Evacuation Operations' and the countries it has been carried out?

OPERATION	EVACUATION FROM THE COUNTRY
1. Operation DEVI SHAKTI	Myanmar
2. Operation Sukoon	Lebanon
3. Operation Safe Homecoming	Libya
4. Operation Raahat	Yemen

Which of the following pairs is/are correctly matched?

- a) 1,2 and 3 only
- b) 2,3 and 4 only
- c) 1,2 and 4 only

- d) 1,2,3,4

Q.86) Which of the following countries do not share borders with Afghanistan?

- a) Iran, China, Tajikistan
- b) Uzbekistan, Turkmenistan, Iran
- c) Kazakhstan, Kyrgyzstan, Iraq
- d) India, Pakistan, China

Q.87) With regard to 'Deposit Insurance and Credit Guarantee Corporation'(DICGC), Consider the following statements.

- 1) DICGC is a 'wholly-owned subsidiary' of the RBI and provides insurance cover on bank deposits.
- 2) The Governor of RBI is its ex-officio Chairman.
- 3) It insures all bank deposits, such as savings, fixed, current etc but doesn't include Deposits of foreign Governments and Deposits of Central/State Governments.

Which of the statements given above is/are correct?

- a) 1 and 2 only
- b) 1 and 3 only
- c) 2 and 3 only
- d) none of the above

Q.88) Consider the following statements regarding 'National Financial Reporting Authority (NFRA)':

- 1) It recommends accounting and auditing policies and standards to be adopted by companies for approval by the Central Government.
- 2) It has been established under the Companies Act, 2013.
- 3) It aims to monitor and enforce compliance with accounting standards and auditing standards.

Which of the statements given above is/are correct?

- a) 2 only
- b) 1 and 2 only
- c) 2 and 3 only
- d) all the above

Q.89) The term 'A stablecoin' was seen in news in the context of -

- a) It is a type of cryptocurrency.
- b) It is a coin whose value remains constant in every circumstance.



- c) This currency was recently introduced by the Reserve Bank of India.
d) None of the above .

Q.90) Recently, ' Baijayant Panda Committee ' was often seen in news related to -

- a) Reforms in the criminal justice system.
b) To create a legal framework for Artificial Intelligence.
c) To review the National Cadet Corps .
d) To give recommendations on the right to privacy.

Q.91) Consider the following statements with reference to 'Samvatsari 'festival :

1. It is a festival celebrated by the Parsi community.
2. It asks for forgiveness for one's knowing or unknowing hurtful words, actions or deeds.

Which of the statements given above is/are correct?

- a) 1 only
b) 2 only
c) Both 1 and 2
d) Neither 1 nor 2

Q.95) Consider the following Statements with reference to 'Manda buffalo ':

1. The Manda Buffalo is resistant to parasitic infections, less prone to diseases.
2. It is recognised as the '19th unique breed of buffalo' by The National Bureau of Animal Genetic Resources .
3. It is endemic to western ghats.

Which of the statements given above is/are correct?

- a) 1 and 2 Only
b) 1 and 3 only
c) 1 and 2 , 3 only
d) 2 and 3 only

Q.96) Recently , Chandigarh got its first pollen calendar. Consider the following statements with reference to 'Pollen Calendar':

1. It is graphical representations of the time dynamics of airborne pollen taxa in a certain geographic area.

2. They provide easy-to-understand visual information on diverse airborne pollen species.

Which of the statements given above is/are correct?

- a) 1 only
b) 2 only
c) Both 1 and 2
d) Neither 1 nor 2

Q.97) Recently , the term 'Qeqertaq Avannarleq ' often seen in news related to

- a) It is a species found in Eastern Ghat.
b) It is a satellite launched by ISRO and NASA.
c) It is an uninhabited island.
d) None of the Above.

Q.98) With reference to 'Pradhan Mantri Gramin Digital Saksharata Abhiyan (PMGDISHA) ' , consider the following Statements :

1. The Scheme is applicable only for rural areas of the country.
2. The implementation of the Scheme will be under the supervision of the Ministry of Electronics and IT.
3. It aims to ensure digital literacy in every house-hold.

Which of the statements given above is/are correct?

- a) 1 and 2 Only
b) 1 and 3 only
c) 1 and 2 , 3 only
d) 2 and 3 only

Q.99) An area owned by the State Government adjacent to National Parks and sanctuaries for protecting the landscape, seascape and habitat of fauna and flora is the definition of :

- a) Community Reserve
b) Sanctuary
c) Conservation Reserves
d) Sacred Groves

Q.100) Which of the following pairs are correctly matched?

1. Brown Hydrogen - Generated through coal gasification
2. Green Hydrogen - Generated through electrolysis, powered by nuclear energy



3. Yellow Hydrogen - Generated through electrolysis, powered by solar energy

Select the correct answer using the codes given below.

- a) 1 and 2 only
- b) 2 and 3 only
- c) 1 and 3 only
- d) 1, 2 and 3

OnlyIAS



Q.1) Ans: D

Exp:

- **Statement 1 is incorrect:** The value of SDR is determined in terms of the US dollars and is determined on the daily basis based on the daily exchange rate fluctuations. Hence, the value of SDR undergoes daily fluctuations depending upon the exchange rates.
- **Statement 2 is incorrect:** The latest currency to be added to the SDR basket was Chinese Renminbi. The other currencies in the basket of SDR includes the US Dollars, Euros, Japanese Yen, and the pound sterling. While the maximum weight is assigned to the US Dollars, the minimum weightage is to pound sterling. Chinese currency was the last addition to the basket yet the weight assigned to it is after the dollars and euros.

Source:

<https://www.imf.org/en/About/Factsheets/Sheets/2016/08/01/14/51/Special-Drawing-Right-SDR>

Q.2) Ans: B

Exp:

- **Statement 1 is incorrect:** The **WTO's Agreement on Agriculture** allows a minimum amount of trade distorting subsidies for both the developed and developing countries to ensure food security of the country. These subsidies are classified under three boxes namely, the **Green box**, the **Blue box**, and the **Amber box** subsidies. The Green box subsidies do not distort the trade and hence there is no limit on them. The **Blue Box subsidies** are also provided without any limits. The subsidies under the Blue box are allowed by the WTO with the condition that they must be designed to reduce the trade distortion.
- **Statement 2 is correct:** The per farmer Amber box subsidy is more for the USA than for India.

Even though India provides for a greater percentage of subsidies, it is more per farmer for the USA than for India.

- **Statement 3 is correct:** The **Amber Box** provides limitations on the subsidies for both the developed and the developing countries. Developed countries are entitled to provide subsidies worth 5% of their production while for the developing countries, the limit is 10%.

Source:

Q.3) Ans: D

Exp:

- **Option D is correct:** The forex reserves of India is maintained by the Reserve Bank of India and is in the form of foreign currencies, gold, Reserve Tranche position of the IMF and the SDR. To strengthen the foreign exchange reserves, there needs to be greater incoming of foreign investments in the country which is possible by strengthening the investment ecosystem. **Fear of currency war** among the major economies like the USA and China is likely to reduce the forex reserves by causing volatility in the exchange rate and the depreciation of rupee. The **dear money policy of the US Federal reserve** increases the loan interest rates by the commercial banks and hence borrowers provide competitive interest rates to the investors causing them to be attracted to their domestic market. **Huge competition among the stock exchanges** of the world causes volatility in the exchange rates and the investors seek to invest in those markets which are offering them the best returns. **Rising crude oil prices** which are brought in dollars leads to the more depletion of the foreign exchange of the country for the same quantity of import of crude oil and makes our imports costlier.

Source: Ramesh Singh, pg 15.2



Q.4) Ans: A

Exp:

- **Statement 1 is correct:** India has been following the floating exchange rate system since 1993. The Indian model is referred to as the **dual exchange rate system**. In this case, two exchange rates namely the **market exchange rate** and the **official rate** are announced. The intervention of RBI occurs in this system when too much fluctuation is witnessed in the exchange rate market.
- **Statement 2 is incorrect:** The market variations of demand and supply decides the market exchange rate. The official exchange rate is then dependent on the market exchange rate and not the other way round.

Source: Ramesh Singh, 15.4

Q.5) Ans: C

Exp:

- **Statement 1 is correct:** In case of **appreciation**, the currency gains its value when compared to the foreign currency whereas in case of **depreciation**, the currency loses its value when compared to the foreign currency. Hence, appreciation and depreciation of a currency can occur only when the exchange rate is based on market-based fluctuations of the demand and supply. Therefore, it is a feature of the floating exchange rate system.
- **Statement 2 is incorrect:** The concept of appreciation and depreciation are also linked to the increase and the decrease in the value of an asset. Every asset undergoes wear and tear with time and hence depreciates in its value. This depreciation is officially fixed by the government annually. However, there is no such official fixation for the appreciation of assets as it is for the depreciation of the assets.

- **Statement 3 is correct:** The deficit and surplus is expressed in terms of Current accounts only and not for the capital account. The current account includes the trade in goods and services, along with the transfer payments, and the Income. The Balance of Payment crisis occurs when the country does not have sufficient forex reserves to finance its deficit.

Source: Ramesh singh.pg.15.5, 15.6

Q.6) Ans: C

Exp:

- **Option C is correct:** Extended Fund Facility of the International Monetary Fund refers to any amount of loan or foreign exchange that can be raised by a member country of the IMF to finance its Balance of Payment crisis. However, this is subjected to certain structural reforms as suggested by the IMF for the member country. India is a party to this agreement of the IMF and during its BoP crisis of 1991, it agreed to the structural reforms as suggested by the IMF. These reforms included the devaluation of the rupee, decrease in custom and increase in excise duties, reduction of government spending, etc.

Source: Ramesh Singh, pg 15.7

Q.7) Ans: B

Exp:

- **Option B is correct:** Hard currency is the most liquid form of currency. It is short in supply and large in demand in the international market. The USA's dollar is the strongest currency of the world and is a hard currency. **Soft currency** is the one which is easily available and not so liquid as compared to hard currency. Indian rupee is a soft currency in the International



market. The demand for this currency is not very high. **Heated currency** is the one that bears the pressure of depreciation with the withdrawal of the hard currency from its market. Huge withdrawal of dollars from the Indian market causes the depreciation of the Indian rupee which is the heated currency in this case. **Cheap currency** is the currency with the public. If the government purchases its securities back from the public, then money is infused into the hands of the public which is the cheap currency.

Source: Ramesh singh

Q.8) Ans: D

Exp:

- **Statement 1 is incorrect:** The **Special Economic Zones or SEZs** were created under the provisions of the **Special Economic Zones or SEZ Act, in 2005**. These are the export hubs of the country and are treated as foreign territory for the purpose of tax and trade related laws. They are provided with tax holidays and other benefits to enable them to generate employment and infrastructure facilities. They can be created by the Central government, the state governments or any other private parties.
- **Statement 2 is incorrect:** SEZs can be created in any sector of the economy- Agriculture, Manufacturing and the services. To encourage agro-based food processing industries in the SEZs, a new category for this purpose was added in 2017 by the Ministry of Commerce and Industry.
- **Statement 3 is incorrect:** To ensure faster growth of the SEZs, it has been allowed that social and commercial infrastructures located outside the territories of SEZs would be made accessible to them. Hence, the common use of such infrastructures have been allowed.

Source: Ramesh Singh

Q.9) Ans: A

Exp:

- **Statement 1 is correct:** There are two kinds of E-commerce models: **Market-based** and **Inventory-based models**. In the market-based model, the role of the E-commerce entity is only to provide the web platform to connect the sellers and buyers. It does not own the goods and service and merely acts as a facilitator of the transactions between the buyer and the seller. 100% FDI is permitted in the market-based E-commerce model. The inventory-based model focuses on the owning and selling of the goods and services directly by the E-commerce entity. There is no FDI permitted here.
- **Statement 2 is correct:** In the market-place models the sellers and facilitator of sale through a portal are different entities. This model is beneficial as it connects the local vendors to the customers around the country through an online portal.
- **Statement 3 is incorrect:** The recent E-commerce rules, 2020 are applicable to all the E-commerce entities providing goods and services in India, whether registered in India or outside India. These rules seek to strengthen the grievance redressal of the customers.

Source: mrunal 326

Q.10) Ans: D

Exp:

- **Statement 1 is incorrect:** Earlier the Foreign Investment Promotion Board was responsible for approval to the FDI investments in India. After its abolition, this work is done by the individual sector related ministry in consultation with the Ministry of Commerce. As per the new norms released by the Government, any FDI



coming from the countries sharing borders with India would require the approval of the Government of India. The move aimed at curbing China from overtaking businesses in India at a cheap price during the COVID pandemic.

- **Statement 2 is incorrect:** **Invest India** or the **National Investment Promotion and Facilitation Agency of India** is a not-for-profit organization established by the Ministry of Commerce and Industry along with the FICCI, NASSCOM, and others. The Nirvik scheme that aims promotion of exports is a scheme by the Export Credit Guarantee Corporation of India, a PSU under the Ministry of Commerce and Industry.

Source: Mrunal pg 328, 329.

Q.11) Ans: C

Exp:

- **Statement 1 is correct:** As per the Economic Survey 2020-21, the COVID pandemic led to the slowdown of the economic activity due the imposition of lockdowns and the halt of economic activity. It was observed that in the Advanced Economies, the impact of contraction in GDP and trade volume is much more than that of the Emerging Markets and Developing Economies (EMDE). The decline in exports and imports was very steep for the Advanced Economies as compared to the EMDEs.
- **Statement 2 is correct:** As per International Monetary Fund, there is a lot of vulnerability in the corporate sector and in the financial position of the sovereign governments. The corporate loans are at a greater risk of defaults as further loans are being raised by them to deal with the cash shortages, further increased expenditure by the governments to deal with

the pandemic has widened the fiscal deficits of the countries.

Source: Eco survey

Q.12) Ans: B

Exp:

- **Statement 1 is incorrect:** Economic Survey 2020-2021 highlights the potential of India to become the **pharmacy of the world.** It highlights that India's pharmaceutical industry is third largest in terms of volume while in terms of value it is 14th largest in the world. Further, India's exports in pharmaceuticals have doubled in the past 10 years and India is at 11th position in terms of total share of world pharma exports as per 2019.
- **Statement 2 is correct:** USA is now the largest export destination for Indian exports followed by China. A fall in the exports in 2020-21 have been attributed to the fall in the exports of Petroleum, Oil and Lubricants exports. Drug formulations, biologicals, have shown consistent positive growth and is the second largest exported commodity of the country. (Economic Survey 2020-21).

Source: Eco survey

Q.13) Ans: B

Exp:

- **Statement 1 is incorrect:** **Comprehensive Economic Partnership Agreement** is a kind of Free Trade Agreement which is far more comprehensive than a conventional free trade agreement. In an FTA, the partner countries only aim at the reduction of the tariffs. However, if the countries go beyond simply



reducing the tariffs to relaxing the norms for foreign investment and movement of labor then it forms a Comprehensive Economic Partnership Agreement. It is not a common market that allows free movement of labor along with a common tariff for a non-member.

- **Statement 2 is correct:** Customs Union is a **Free Trade Agreement** where the members of the Union charge reduced tariffs to each other while they charge a common tariff for external or non-member countries.
- **Statement 3 is correct:** Trans-Pacific Partnership or TPP was a free trade agreement proposed by the USA with 11 other partners (Japan, Malaysia, Vietnam, Singapore, Brunei, Australia, New Zealand, Canada, Mexico, Peru, Chile) to facilitate lower tariffs and easy movement of labor and investments. However, the US withdrew from TPP in 2016 and the remaining 11 countries revised TPP to **Comprehensive and Progressive Agreement for Trans-Pacific Partnership or CPTPP.**

Source: Mrunal 362 363

Q.14) Ans: D

Exp:

- **Statement 1 is incorrect:** The composition of SAARC and BIMSTEC differs greatly with each other. SAARC or the **South Asian Association for Regional Cooperation** was established in 1985 at Kathmandu, Nepal. It comprises 8 countries: India, Afghanistan, Pakistan, Nepal, Bhutan, Bangladesh, Sri Lanka, and Maldives. Bay of Bengal Initiative for Multi Sectoral Technical and Economic Cooperation or BIMSTEC was formed in 1997 with Headquarters at Dhaka, Bangladesh. It has 7 members: India, Bangladesh, Bhutan, Nepal, Sri Lanka, Myanmar, and Thailand.

- **Statement 2 is incorrect:** Mekong Ganga Cooperation was formed in 2000 and is an agreement with India and the five countries through which river Mekong passes. These include Myanmar, Laos, Thailand, Vietnam, and Cambodia. River Mekong originates in China and China is not a party to this agreement. The platform includes cooperation in the field of tourism, culture, education, transport, and communication.

Source: mrunal 371

Q.15) Ans: B

Exp:

- **Statement 1 is incorrect:** D 10 group was proposed by the United Kingdom in 2020 as a grouping of G7 countries along with 3 democratic countries to create a supply chain for 5G technologies.
- **Statement 2 is correct:** The membership of D 10 includes the G7 countries (USA, UK, France, Germany, Italy, Japan, and Canada) and the three democracies (India, Australia, and South Korea). G7 was originally in 1975 and with the addition of Russia in 1997, it became G8. However, post the annexation of Crimea by Russia in 2014, Russia was expelled, and it again reduced to G7.
- **Statement 3 is correct:** One of the objectives of the D 10 is to by-pass China in the supply of 5G technologies. It is done to ensure data privacy and protection as Chinese companies would be prevented from being a part of the supply chain.
- **Statement 4 is incorrect:** Australia, India, and South Korea are the three democratic countries. Japan is already a member of the G7 and hence a member of the group.

Mrunal 375



Q.16) Ans: C

Exp:

- **Option C is correct:** Asia Pacific Economic Cooperation (APEC) is a group of 21 members of the Pacific rim of ocean economies with its headquarters in Singapore. India is not a member of this grouping. Indian Ocean Rim Association (IORA) is a group of 22 countries to boost cooperation in the Indian Ocean region. It was established in 1997 with its headquarters in Mauritius with India as its member. Organization of the Petroleum Exporting Countries (OECD) is a group of oil exporting countries with its headquarters in Austria. It was established in 1961. It includes 13 members. India is not a member of this. SAFTA or the South Asia Free Trade Area is a trade agreement of the SAARC nations. It includes all SAARC countries including India.

Source: mrunal

Q.17) Ans: B

Exp:

- **Statement 1 is correct:** It is a group of 19 agricultural exporting nations that aims to promote and liberalize the trade in agriculture. The grouping was established in 1986 in Cairns, Australia, and accounts for more than 25% of the world's agricultural exports.
- **Statement 2 is incorrect:** India is not a member of this grouping even though it has its maximum population employed in agriculture and related activities.

Source: news

Q.18) Ans: C

Exp:

- **Statement 1 is correct:** Data Free Flow with Trust was proposed by Japan at the G 20 summit in Osaka in 2019. It formed a part of the Osaka Declaration and aims to allow free flow of data between the countries to effectively harness the fruits of the digital economy. India has abstained from this declaration as India is of the view that data should be stored within the borders of the countries.
- **Statement 2 is incorrect:** On the sidelines of the Buenos Aires Summit of the G 20, JAI trilateral comprising Japan, USA, and India was formed to promote economic growth among the three countries.
- **Statement 3 is correct:** Shanghai Cooperation Organization (SCO) was established in 2001 in Beijing, China to promote growth and cooperation among the central Asian countries. It comprises 6 founding countries: China, Russia, Tajikistan, Kyrgyzstan, Kazakhstan, and Uzbekistan. India and Pakistan were added to the grouping in the 2017 summit at Astana. Regional Anti-Terrorist Structure is a component of this grouping. SCO aims to combat terrorism and establish peace in the region.

Source: Mrunal 372, 373, 374

Q.19) Ans: C

Exp:

- **Option C is correct:** Maastricht Treaty and the Digital Single Market Strategy are related to European Union. European Union was created in 1993 with the signing of the Maastricht Treaty to create a common political, economic union that facilitates easy movement of goods, services, and citizens. In 2002, it released its own currency, Euro. Post the exit of Britain from the EU, it is now left with 27 members. The exit of Britain was done post a referendum in the UK



in 2016 that favored the exit and as per the provisions of the Lisbon Treaty. The creation of Digital Single Market Strategy by 2020 is aimed to promote various digital, E-commerce, and telecommunication services.

Source: Mrunal 370

Q.20) Ans: D

Exp:

- **Statement 1 is incorrect:** **Generalized System of Preferences List** is released by the **USA** and contains a list of countries the imports from which would be subjected to reduced or zero import duties. It covers only selected commodities and not all the imports. India was removed from this list in 2019.
- **Statement 2 is incorrect:** **Global System of Trade Preferences** among Developing countries is an agreement under the United Nations Conference on Trade and Development (UNCTAD). It was formed in 1988 among the developing and the Least Developed Countries and aims to reduce trade barriers among each other. India is a member of this group.

Source: mrunal 368

Q.21) Ans: D

Exp:

Public Debt in India includes only **Internal and External Debt** incurred by the Central Government. Internal Debt includes **liabilities incurred by resident units in the Indian economy to other resident units.**

- **Statement 1 is Correct:** Market Stabilization Scheme (MSS) Bonds are Governed by a MoU between the Government of India and the RBI. MSS was created to assist the RBI in managing its sterilization operations. The Government

borrowed under this scheme from the RBI, while proceeds from such borrowings are maintained in a separate cash account with the latter and is used only for redemption of T-bills /dated securities raised under this scheme.

- **Statement 2 is Correct:** All deposits under small savings schemes are credited to the **National Small Savings Fund (NSSF)**. The balance in the NSSF (net of withdrawals) is invested in special Government securities and is **counted as the Internal Debt.**
- **Statement 3 is Correct:** Securities issued to International Financial Institutions such as **International Monetary Fund, International Bank of Reconstruction and Development (IBRD)**, etc. for India's contributions to these institutions are also included in the internal debt of the country.

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.22) Ans: A

Exp:

Option A is the Correct answer.

A major part of the government's fiscal deficit is because it needs to pay interest on its previous accumulated debt. If we want to measure **the government's deficit excluding the interest payment on the previous debt** then it is called the **primary deficit**. The goal of measuring the primary deficit is to focus on present fiscal imbalances.

Primary Deficit = Fiscal Deficit - Net interest liabilities

So, primary deficit tells about the deficit in the government's budget excluding the interest liabilities on the government's accumulated debt.

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.23) Ans: C



Exp:

- **Statement 1 is Incorrect:** Revenue Deficit is the difference between the government's revenue expenditure and revenue receipts. **Revenue deficit neither creates assets nor reduces liabilities.** Revenue Deficit implies that the government's current expenses are more than its current revenues and will have to use up the savings of other sectors of the economy to finance its consumption expenditure.
- **Statement 2 is Correct:** Those expenses of the government which either creates assets (physical or financial) or reduces liabilities are called capital expenditures. Capital expenditures include acquisition of land, building, machinery, equipment, purchase of shares by the government and loans and advances by the central government to state and union territory governments, PSUs and other parties.
- **Statement 3 is Correct:** There are several grants given by the Central Government to the States / UTs which come under revenue expenditure for the central government but some of these grants create assets, which are owned by the State government and not by the Central government. Hence, for the Central Government it is basically revenue expenditure but ultimately it is creating assets for the State government. Hence, **"effective revenue deficit" is calculated which excludes such grants which are used for creation of assets.**

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.24) Ans: A

Exp:

- **Statement 1 is Incorrect:** Fiscal deficit indicates the total borrowing of the government from all sources i.e. domestic borrowing plus borrowing

from external sources. A large share of revenue deficit in the fiscal deficit indicates **that a large part of borrowing is being used to meet its consumption expenditure needs rather than investment.**

- **Statement 2 is Correct:** Revenue Deficit implies that the government's current expenses are more than its current revenues and will have to use up the savings of other sectors of the economy to finance its consumption expenditure. **Since a major part of the revenue expenditure (salary, pension, interest payments, subsidies etc.) is committed expenditure, it cannot be reduced after a certain extent and hence it cannot be completely eliminated.**

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.25) Ans: D

Exp:

- **Statement 1 is Incorrect:** It was set up **under the Central Goods and Services Tax (CGST) Act, 2017.** The consumer welfare fund rules of 1992 have been subsumed under the CGST rules, 2017. It has been set up **to promote and protect the welfare of the consumers.**
- **Statement 2 is Incorrect:** The Fund has been set up by the Department of Revenue (Ministry of Finance) and is being operated by the Department of Consumer Affairs (Ministry of Consumer Affairs, Food & Public Distribution).

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.26) Ans: A

Exp:

Option A is the Incorrect statement.



A buyback is a scheme by which a company repurchases a certain amount of its outstanding shares. Once taken back, these shares are extinguished by the company. It can be done to improve the earnings per share for continuing shareholders. It can also be done if promoters want to hike their stake in the company, sometimes to avoid any takeover threats.

Companies resort to buyback mainly to escape dividend distribution tax. To plug the differential tax treatment between buybacks and dividend payouts, the government has proposed that 20 % tax will be levied on the difference between the issue price and the buyback price of the share. The Finance Ministry has said that it will look into the applicability of 20% tax proposed in the 2019-20 Budget on the current share buybacks by listed companies.

Reference:

<https://www.thehindubusinessline.com/opinion/columns/slate/all-you-need-to-know-about-buyback-tax/article28322325.ece>

Q.27) Ans: D

Exp:

- **Statement 1 is Incorrect:** Fiscal deficit indicates the total borrowing of the government from all sources i.e. domestic borrowing plus borrowing from external sources. However, a large part of the government's fiscal deficit is the interest paid on its previous accumulated debt.

Fiscal Deficit = Total expenditure - total receipts except borrowing

- **Statement 2 is Incorrect:** Revenue Deficit is the difference between the government's revenue expenditure and revenue receipts.

Revenue Deficit = Revenue Expenditure - Revenue Receipts

Revenue Deficit implies that the government's current expenses are more than its current revenues and will have to use up the savings of other sectors of the economy to finance its consumption expenditure. However, even in the case of revenue deficit, a major part goes for the payment of salaries, pensions, interest payments on previously accumulated debt, subsidies which is a committed expenditure.

- **Statement 3 is Correct:** The government's deficit excluding the interest payment on the previously accumulated debt is called the primary deficit. It was introduced with the goal of measuring the present fiscal imbalances.

Primary Deficit = Fiscal Deficit - Net interest liabilities

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.28) Ans: D

Exp:

Option D is the Correct answer.

The G7 finance ministers agreed in principle upon global tax reforms, and this is being described as historic by many. The agreement covers two pillars: the first requiring MNCs to pay taxes in countries where they operate and not just where they have their headquarters; and the second pillar commits to a global minimum corporate tax of at least 15 percent on a country-by-country basis.

This has been done mainly because companies preferred to book their profits in tax havens. For instance, U.S. companies booked half of all foreign profits in just seven low-tax jurisdictions: Bermuda, the Cayman Islands, Ireland, Luxembourg, the Netherlands, Singapore and Switzerland. Though small countries levy



a low rate, they may capture what is significant revenue for them.

U.S. Treasury Secretary Janet Yellen has asserted that a global minimum would end a **destructive “race to the bottom” in international taxation**. According to the London-based Tax Justice Network advocacy group, **governments lose \$245 billion annually to tax havens**. If that money were instead available to governments, they could use it for, among other things, managing their heavy costs for pandemic relief.

It would apply to **companies’ overseas profits**. Therefore, if countries agree on a global minimum, **governments could still set whatever local corporate tax rate they want**.

Reference:

<https://www.moneycontrol.com/news/opinion/what-g7s-global-minimum-tax-holds-for-india-7021181.html>

Q.29) Ans: C

Exp:

A direct tax is a tax levied **directly on a taxpayer who pays it** to the Government and cannot pass it on to someone else.

- **Statement 1 is Correct:** Corporate income tax (CIT) is imposed on the profits of the corporations/ companies/ entities. **All profit-making companies need to pay a flat rate of corporate income tax.**

To promote manufacturing, for new manufacturing firms (& electricity generation) **set up after 1st October 2019 and commencing its operations before 31st March 2023**, the Standard Corporate Income Tax is 15% (after Cess and Surcharge it will be 17.16%).

- **Statement 2 is Incorrect:** When a company announces dividends, it has to pay tax (DDT) on the dividend which is to be distributed to

the owners and the owners also pay tax (as per their income tax slab) on the dividend received.

However, from Assessment Year 2021-22, the domestic company isn't required to pay dividend distribution tax on any amount declared, distributed or paid by such company by way of dividend. **Dividends received from domestic companies are taxable in the hands of shareholders.**

- **Statement 3 is Correct:** Companies try to minimise giving taxes by taking advantage of depreciation, deductions, exemptions, etc from the government. **The objective of introduction of MAT was to bring into the tax net "zero tax companies"** which in spite of having earned substantial book profits and having paid handsome dividends, do not pay any tax due to various tax concessions and incentives provided under the Income tax Law.

Minimum Alternate Tax is applied when the taxable income calculated according to the I-T Act provisions is found to be less than 15.5 per cent (plus surcharge and cess as applicable) of the book profit under the Companies Act, 2013.

- **Statement 4 is Incorrect:** Stamp duty is a legal tax payable in full and acts as evidence for any sale or purchase of a property. It is payable under Section 3 of the Indian Stamp Act, 1899. **Although it is applicable to the companies, it is not a direct tax.**

The levy of stamp duty is a **state subject** and thus the rates of stamp duty vary from state to state. **Beginning from July, 2020, all shares and mutual fund purchases will attract a stamp duty of 0.005 per cent and any transfer of security will attract a stamp duty of 0.015 per cent.**

Reference: Indian Economy by Vivek Singh, Chapter 4



Q.30) Ans: A

Exp:

The Finance Ministry has permitted some states an **additional borrowing of ₹ 1.06 lakh Cr** as these have implemented some institutional reforms. Last October, the central govt linked the **additional borrowing of 1% of GSDP to four critical reforms:**

1. **One Nation One Ration Card**
2. **Ease of doing business reforms**
3. **Power sector reforms**
4. **Urban and local body reforms**

States implementing three of these are given additional grants from the centre **for capex purposes**. This was done under **the Atma Nirbhar Bharat**, the central govt announced support measures allowing them to raise the borrowing limit from 3% to 5%, which would translate to additional borrowing of ₹ 4.28 lakh Cr. However, the Centre had attached conditions for the increased borrowing space, they are:

1. Permitting only 0.5 per cent of GSDP as an unconditional increase.
2. The next 1 per cent was to be in four tranches of 0.25 per cent, with each tranche linked to expenditure on 'One Nation One Ration', urban local body revenues, power distribution, ease of doing business reforms.
3. The last 0.5 per cent was to be allowed if at least three out of four milestones are reached.
4. States will also have to agree to take over the future losses of state power distribution companies in a graded manner to be eligible for additional borrowing space of 0.50% of GSDP for four years.

For FY22, the net borrowing **ceiling for states has been fixed at 4 percent of the projected GSDP (about Rs 8.46 lakh crore)**, based on recommendations of the **Fifteenth Finance Commission**. The states that have implemented all four reforms include **Andhra Pradesh,**

Goa, Kerala, Madhya Pradesh, Punjab, Rajasthan, Telangana and Tripura.

Reference:

<https://indianexpress.com/article/business/states-implementing-key-institutional-reforms-can-borrow-rs-1-06-lakh-crore-more-7292957/>

Q.31) Ans: C

Exp:

Relevance: Beginning from July, 2020, **all shares and mutual fund purchases will attract a stamp duty of 0.005 per cent and any transfer of security will attract a stamp duty of 0.015 per cent.**

- **Statement 1 is Correct:** As per the recent government notification, **all shares and mutual fund purchases will attract a stamp duty of 0.005 per cent.**
- **Statement 2 is Correct:** Stamp duty is the tax levied **by the State government(as it is a State Subject)** when a property is transferred from a seller to a buyer. Only when the receipt or acknowledgement of payment of stamp duty is received, will one be considered a legal owner of that property.

Stamp duty is payable **irrespective of the type of property purchased — under-construction, new completed or re-sale.**

- **Statement 3 is Correct:** From July, 2020, stamp duty will also be applicable to **any transfer of security, shares or debentures.** It will attract a stamp duty of 0.015 per cent.

Reference:

<https://www.livemint.com/money/personal-finance/5-changes-in-stamp-duty-affecting-you-from-1st-july-11593536234789.html>



Q.32) Ans: C

Exp:

- **Statement 1 is Incorrect:** Composition levy is not a direct tax. The objective of the composition scheme is to bring simplicity and to reduce the compliance cost for the small taxpayers. Small taxpayers with an aggregate turnover in a preceding financial year up to 1.5 Cr. shall be eligible for composition levy.

Suppliers opting for composition levy need not worry about the classification of their goods or services or both, the rate of GST applicable on the same, etc. They are not required to raise any tax invoice, but simply need to issue a Bill of Supply.

- **Statement 2 is Incorrect:** In case of composition scheme, the businesses can't claim input tax credit and it is an optional scheme as they will always have the freedom to pay standard GST rate. The eligible person opting to pay tax under this scheme can pay tax at 1% flat rate, of his turnover, instead of paying tax at normal GST rate. Similarly, small service providers with turnover of Rs. 50 lakhs can opt for composition scheme and pay GST at 6%.

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.33) Ans: B

Exp:

- **Statement 1 is Incorrect:** Govt. of India promised States that if after implementation of GST, the States Indirect Revenue growth will be less than 14% annually from 2015-16 (base year) onwards then **Govt. of India (through GST council) will impose Cess(which is a tax on tax) on luxury and demerit goods and that money it will give to States as compensation for the**

next five years (2017-22). For this purpose Goods and Services Tax (Compensation to States) Act 2017 was enacted.

- **Statement 2 is Correct:** Currently, only states can be compensated for the revenue loss that may occur due to the introduction of GST but there is **no such provision for the Union government.**

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.34) Ans: B

Exp:

- **Statement 1 is Correct:** Article 265 of the Constitution provides that no tax shall be levied or collected except by authority of law. Government takes the approval of the parliament for the taxes/receipts through the **Finance Bill** and the approval for the expenditures through the Appropriation Bill.
- **Statement 2 is Incorrect:** The pro-cyclical fiscal policy goes in line with the current mood of the business cycle i.e. amplifying them. For example, during a recession, the government reduces spending and **increases taxes**, leading to further slowdown in the economy. **This kind of fiscal policy is dangerous and brings instability in the economy.**

When the government reduces taxes during a recession it follows a **counter-cyclical fiscal policy.**

- **Statement 3 is Correct:** GST is also called **consumption based and destination-based tax** as all the GST is **passed on to the consuming State** rather than the state which produces the goods.
- **Statement 4 is Correct:** One of the ways of classification of taxes is- Specific tax and Ad-valorem tax. Specific tax is the tax which is



fixed as per each unit of good or service rather than based on its value. **Ad-valorem or the value added tax is levied as a percentage of value of the item it is imposed on**, and not on the item's quantity, size, weight or other such factor.

Hence, the collection of a value added tax like GST is mainly based on the growth in the **Nominal GDP**. Whereas, that of a specific tax is based on the **Real GDP** because it is charged as per each unit of a particular good.

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.35) Ans: B

Exp:

- **Statement 1 is Incorrect:** According to the Fiscal Responsibility and Budget Management Act, 2003, **the Finance Minister shall review, on half-yearly basis**, the trends in receipts and expenditure in relation to the budget and place before both Houses of Parliament the outcome of such reviews.
- **Statement 2 is Correct:** Budget 2021-22 announced that the FRBM Act will be amended and the government plans to continue on the path of fiscal consolidation, **achieving a fiscal deficit level below 4.5% of GDP by 2025-2026 with a fairly steady decline over the period**. Moreover, in light of the Covid-19 pandemic, the fiscal deficit in BE 2021-2022 is estimated to be 6.8% of GDP. The fiscal deficit in RE 2020-21 is pegged at 9.5% of GDP.

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.36) Ans: D

Exp:

- **Statement 1 is Correct:** The Fiscal Policy Strategy Statement, presented to Parliament

under **Section 3(4) of the Fiscal Responsibility and Budget Management (FRBM) Act, 2003, outlines the strategic priorities of the government in the fiscal area** for the ensuing financial year relating to taxation, expenditure, lending and investments, administered pricing, borrowings and guarantees. It is to be **presented along with the budget**.

- **Statement 2 is Incorrect:** The medium-term expenditure framework (MTEF) statement sets **a three-year rolling target for expenditure indicators**, along with specifications of underpinning assumptions and risks. It is not presented along with the budget.
- **Statement 3 is Correct:** The Annual Financial Statement is a document presented to Parliament every financial year **as part of the Budget process, as required under Article 112 of the Constitution of India**. The documents consist of receipts and expenditures of the government in the current year, previous year and the Budget year in three separate parts — Consolidated Fund of India, Contingency Fund of India, and Public Account of India.
- **Statement 4 is Correct:** **Article 113** of the Constitution mandates that the estimates of expenditure from **the Consolidated Fund of India included** in the Annual Financial Statement and required to be voted by the Lok Sabha **be submitted in the form of Demands for Grants**. The Demands for Grants are presented to the Lok Sabha along with the Annual Financial Statement.
- **Statement 5 is Incorrect:** When the amount authorized to be expended for the current financial year is found to be insufficient for the purpose of that year or when a need has arisen during the current financial year for **supplementary or additional expenditure upon some 'new service' not contemplated in the budget for that year then the President** causes to be laid the "Supplementary Demand for Grants".



The "Supplementary Demands for Grants" are presented to and passed by the House **before the end of the financial year and not along the Union budget.**

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.37) Ans: B

Exp:

To understand Goods and Services tax, understanding the exemptions under it is equally important. Following goods and services are exempt from the application of the GST:

1. Edible vegetables, roots and tubers
2. Cereals
3. **Fish (not frozen or processed)**
4. Fresh fruits and vegetables (other than frozen or processed)
5. Meat (other than frozen or put up in unit containers)
6. Cane jaggery (Gur)
7. Tender coconut water
8. **Silkworm laying cocoon**
9. **Raw silk**
10. Silk waste
11. Wood, not carded or combed
12. Cotton used in Gandhi topi
13. Cotton used in khadi yarn
14. Coconut, coir fibre
15. Jute fibre (raw and processed but not spurn)
16. Pooja Samagri
17. Live animals except horses
18. All goods of seed quality
19. Unroasted cotton beans
20. Unprocessed green tea leaves
21. Fresh ginger and fresh turmeric (not processed)
22. Human blood and its components
23. All types of contraceptives
24. Organic manure (without the brand name)
25. Kumkum, bindi, sindur, alta
26. Firewood or fuelwood

27. Wood charcoal
28. Betel leaves
29. Judicial and non judicial stamp papers, court fee stamps when sold by the government treasuries or authorized vendors
30. Postal items sold by the government
31. Rupee Notes when sold to the RBI and cheques
32. Printed books, braille books, newspapers, maps
33. Earthen pots and clay lamps
34. Bangles (except those made from precious materials)
35. **Manually operated or animal driven agricultural implements**
36. Hand tools, spades, shovels
37. Handloom
38. Spacecraft
39. Hearing aids
40. **Electricity**

Q.38) Ans: B

Exp:

Option B is the Correct answer.

Off-budget borrowings are **loans that are taken not by the Centre directly**, but by another public institution which borrows on the directions of the central government. The repayment of the entire principal and interest is done from the Government budget.

- Extra budget borrowing is **excluded** from the fiscal deficit calculations, **but at the same time, are added to the total debt of the government.**
- Schemes like the **Pradhan Mantri Krishi Sinchayee Yojana (PMKSY), Deen Dayal Upadhyay Gram Jyoti Yojana (DDUGJY), Swachh Bharat Mission (SBM), Pradhan Mantri Awas Yojana (PMAY), etc** were financed out of extra budget borrowings.
- Main entities that have borrowed are FCI, National Highway Authority of India, National Bank for Agriculture and Rural Development



(NABARD), which has borrowed for both rural development and irrigation projects.

- The **Fifteenth Finance Commission** in its initial report advised both the centre and the states to eliminate extra budget borrowings.
- The Commission noted that there is an increasing tendency of the Union and State Governments to borrow outside the Consolidated Fund, **leading to accumulation of extra-budgetary liabilities.**
- The Commission recommended that in the interest of transparency, both the Union and the States have to make full disclosure of extra-budgetary borrowings. **Outstanding extra-budgetary liabilities need to be clearly identified and eliminated in a time-bound manner as per the amended FRBM Act of 2018.**

Reference:

<https://indianexpress.com/article/explained/why-govt-borrows-off-budget-and-how-7162925/>

Q.39) Ans: B

Exp:

External Debt of India refers to all the external debt taken either by central govt or state govt or any Indian company. As on 31st March 2020, external debt of India was \$ 558.5 Billion (20.6% of GDP).

- **Statement 1 is Incorrect:** Short term debt (up to one year) is \$106.9 billion and the long term debt is \$ 451.7 billion. Hence, it is less than the long term debt. This again includes both sovereign and non-sovereign debt but there is no separate data available. It includes FII investment in Treasury bills and Indian corporate bonds etc.
- **Statement 1 is Correct: Commercial borrowings remained the largest component** of external debt, with a share of 37.4 per cent, followed by non-resident deposits (24.9 percent) and short-term trade credit (17.1 per cent).

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.40) Ans: C

Exp:

Option C is the Correct answer.

A fiscal council is a permanent agency with a mandate **to independently assess the government's fiscal plans and projections against parameters of macroeconomic sustainability, and put out its findings in the public domain.**

Historically, budgets in India have consistently overestimated revenue growth and underestimated expenditure growth. **The finance ministry's overall record in forecasting projections has been consistently poor under successive finance ministers.**

Countries with independent fiscal councils tend to produce **relatively more accurate budget forecasts and stick better to fiscal rules.**

- In 2017, the N.K. Singh's committee on the review of fiscal rules set up by the finance ministry suggested the **creation of an independent fiscal council** that would provide forecasts and advise the government on whether conditions exist for deviation from the mandated fiscal rules.
- In 2018, the D.K. Srivastava committee on fiscal statistics established by the National Statistical Commission (NSC) also suggested the establishment of a fiscal council that could coordinate with all levels of government to provide harmonized fiscal statistics across governmental levels and provide an annual assessment of overall public sector borrowing requirements.
- These recommendations follow similar recommendations from the **13th and 14th finance commissions**, which also advocated the establishment of independent fiscal agencies.



Reference:

<https://www.livemint.com/budget/news/why-india-needs-an-independent-fiscal-council-1549814189020.html>

Q.41) Ans: A

Exp:

Debt sustainability depends on the “interest rate growth rate differential” (IRGD) i.e. the difference between the interest rate and the growth rate in the economy.

- **Statement 1 is Correct:** Generally when the economy grows at a higher rate, the difference between the interest rate on debt and growth rate will be negative. As the IRGD is expected to be negative in the foreseeable future for India, a fiscal policy that provides an impetus to growth will lead to lower, not higher, debt to GDP ratio. This is the reason **Eco Survey has demonstrated counter-cyclical fiscal policy to enable growth during economic downturns like Covid-19.**
- **Statement 2 is Incorrect:** If the government has to pay more interest on the debt than the growth rate, then it would **be damaging to the economy and it is advised to stop such borrowings at the earliest. Such debt is not sustainable (for instance, the economic crisis in Greece).**

However, since the interest rate on debt paid by the Indian Government has been less than India's growth rate, **in the Indian context, growth leads to debt sustainability but not necessarily vice-versa.** Debt sustainability depends on the difference between the interest rate and the growth rate in the economy.

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.42) Ans: D

Exp:

Relevance: US Trade Representative (USTR) has released the findings of the **Section 301 report** which said that India's 2% **equalisation levy is unreasonable or discriminatory** potentially attracting withdrawal of US trade concessions or duties on Indian exports.

- **Statement 1 is Incorrect:** Equalization Levy is not under the Income Tax law as tax on income, rather **as an independent levy introduced through Finance Act 2016.** Under the **Finance Bill 2020-2**, a 2% digital service tax (DST) was also imposed on **non-resident e-commerce operators in India.** Companies with a **turnover of over Rs. 2 crore**, will pay this levy on the consideration received for online sales of goods and services.

Equalisation levy was one of the methods suggested by the **2015 OECD/G20 Report on Action 1 of BEPS Project** which was aimed at tackling the taxation challenges arising out of digitization of the economy.

- **Statement 2 is Incorrect:** Equalisation levy is a **Direct Tax and is levied on "REVENUE" and not "Profit".** This is because for India it will be very difficult to check the profit of a multinational company (for instance, Google) as it has a lot of operations in the US and other countries.
- **Statement 3 is Incorrect:** The Equalization levy levied at 2% is applicable on non-resident e-commerce operators, **not having a permanent establishment or any tangible presence in India.** Companies having a tangible presence in India have to pay income tax on their respective earnings.

This was done mainly because in absence of the EL, non-resident e-commerce operators (not having any Permanent Establishment in India



but significant economic presence) are not required to pay taxes in respect of the consideration received in the e-commerce supply or services made in the Indian market.

Reference:

<https://www.thehindubusinessline.com/opinion/columns/slate/all-you-wanted-to-know-about-escape-clause/article30784478.ece>

Reference: Indian Economy by Vivek Singh, Chapter 4

Q.43) Ans: D

Exp:

Option D is the Correct answer.

- The Fiscal Responsibility and Budget Management (FRBM) Act was passed in **2003** and it sets **the fiscal rules to be followed by the government to ensure fiscal consolidation.**
- In 2018, the Act was amended after a review of the Act made by a committee under **Dr NK Singh**. The amendment added a new road map and timeline to reduce the fiscal deficit to 3% of GDP by 31st March 2021. It also inserted **the escape clause that allows the government to go above the fiscal deficit target set for the year during some extraordinary circumstances.**
- The subsection 4 (2) of the Act says about various grounds on which the FRBM's fiscal deficit target may be exempted during a year. Exceeding annual fiscal deficit target due to the following ground or grounds may be permitted:
 1. **National security or act of war**
 2. **National calamity**
 3. **Collapse of agriculture severely affecting farm output and incomes**
 4. **Structural reforms in the economy with unanticipated fiscal implications**
 5. **Decline in real output growth of a quarter by at least three per cent points below its average of the previous four quarters**

So, the escape clause of the FRBM **allows the government to borrow more than the statutorily allowed limit** during extraordinary circumstances.

Q.44) Ans: C

Exp:

- **Statement 1 is incorrect:** Fugitive economic offender (FEO): An FEO is a person against whom an arrest warrant has been issued for committing any offence listed in the Act, and the value of the offence is at least **Rs 100 crore**. Further, the person has left the country and refuses to return, in order to avoid facing prosecution. The Act lists 55 economic offences in the Schedule, which include: (i) counterfeiting government stamps or currency, (ii) dishonouring cheques, (iii) benami transactions, (iv) transactions defrauding creditors, (v) tax evasion, and (vi) money-laundering. The central government may amend the Schedule through a notification.
- **Statement 2 is incorrect:** The authorities appointed under the Prevention of Money Laundering act, 2002, may file an application before a Special Court (designated under the PMLA) to declare a person an FEO. The Special Court will issue a notice to the individual: (i) requiring him to appear at a specified place on a date which is at least six weeks after the issue of notice, and (ii) stating that a failure to appear will result in him being declared an FEO. Notice may also be served at the individual's email address recorded in the PAN or Aadhaar databases.
- **Statement 3 is correct:** The Special Court may confiscate properties of an FEO which are proceeds of crime, benami properties, or any other properties. These properties may be in India or abroad. The Special Court may exempt certain properties from confiscation where any



other person has a legitimate interest in them. Upon confiscation, all rights and titles in the property will vest in the central government, free from encumbrances (claims or rights in the property). The central government may dispose of these properties after 90 days.

Source: PRS India.

Q.45) Ans: C

Exp:

An Act to ensure financial stability and promote competitiveness in Indian financial markets by providing enforceability of bilateral netting of qualified financial contracts and for matters connected therewith or incidental thereto.

- **Statement 1 is correct:** Bilateral netting: Netting refers to offsetting of all claims arising from dealings between two parties, to determine a net amount payable or receivable from one party to other. In the event of the default or insolvency of one of the parties, a bank's obligation would be the net sum of all positive and negative fair values of contracts included in the bilateral netting arrangement.
- **Statement 2 is correct:** Qualified financial contracts (QFC): QFC means any bilateral contract notified as a QFC by the relevant authority. The authority can be Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), Insurance Regulatory and Development Authority of India (IRDAI), Pension Fund Regulatory and Development Authority (PFRDA) or International Financial Services Centres Authority (IFSCA). The Central government may, by notification, exclude contracts between certain parties or containing certain terms from being designated as QFCs.

Source: PRS India.

Q.46) Ans: A

Exp:

- **Option a is correct :** Demutualised means that the stock brokers owned organization have

been made a public owned organization. The shares in the hand of the brokers were transferred to the public and this process is known as demutualisation. For example, Bombay Stock Exchange established in 1887 was known as 'The Native Share and Stock Brokers Association' and was owned by stock brokers before it was demutualised.

Q.47) Ans: d

Exp:

- Securities and Exchange Board of India is a quasi-legislative, quasi-judicial and quasi-executive body and can draft regulations, conduct inquiries, pass rulings and impose penalties.
- Securities and Exchange Board of India is an autonomous organization that works under overall administrative supervision of the Union Finance Ministry and is accountable to the Parliament.
- SAT is a statutory body established under the provisions of the Securities and Exchange Board of India Act, 1992, it was constituted to protect the interest of entities that feel aggrieved by SEBI's decision can also hear and dispose of appeals against orders passed by the Insurance Regulatory Development Authority of India (IRDAI) under the Insurance Act, 1938, the General Insurance Business (Nationalization) Act, 1972 and the Insurance Regulatory and Development Authority Act, 1999. Hence option a, b and c are correctly mentioned.
- The chairman of SEBI is nominated by the Union Government of India. The other members include: Two members, i.e., Officers from the Union Finance Ministry, One member from the Reserve Bank of India and the remaining five members are nominated by the Union Government of India. Three of the five members should be full-time members. Hence, option d is incorrectly mentioned.



Q.48) Ans: c

Exp:

- **Option c is incorrectly mentioned** : Facilitate credit flow for promotion and development of agriculture, small-scale industries, cottage and village industries, handicrafts and other rural crafts.
- Support all other allied economic activities in rural areas, promote integrated and sustainable rural development and secure prosperity of rural areas.
- **Option a is correctly mentioned**: The importance of institutional credit in boosting the rural economy has been clear to the Government of India right from its early stages of planning. Therefore, the Reserve Bank of India (RBI) at the insistence of the Government of India, constituted a Committee to Review the Arrangements For Institutional Credit for Agriculture and Rural Development (CRAFICARD) to look into these very critical aspects. The Committee was formed on 30 March 1979, under the Chairmanship of Shri B. Sivaraman, former member of Planning Commission, Government of India.
- **Option b is correctly mentioned**: Promotes sustainable and equitable agriculture and rural development through participative financial and non-financial interventions, innovations, technology and institutional development for securing prosperity.
- **Option d is correctly mentioned**: National Bank for Agriculture and Rural Development (NABARD) has released a study named, 'Achieving Nutritional Security in India: Vision 2030', in December 2020. The report assesses the trends for nutritional security and identifies determining factors that have a significant effect on reducing malnutrition levels in India.

- **Option c is correct**: The Government of India encourages farmers in taking up projects in select areas by subsidizing a portion of the total project cost. All these projects aim at enhancing capital investment, sustained income flow and employment areas of national importance. NABARD has been a proud channel partner of the Government in some of these schemes shown in this section. Subsidy as and when received from the concerned Ministry is passed onto the financing banks.
- Dairy Entrepreneurship Development Scheme
 - Commercial production units of organic inputs
 - Agrilclinic and Agribusiness Centres Scheme
 - National Livestock Mission
 - GSS – Ensuring End Use of Subsidy Released
 - Interest subvention Scheme
 - New Agricultural Marketing Infrastructure.
- The Department of Agriculture has been implementing the Centrally Sponsored Scheme, "Paramparagat Krishi Vikas Yojana" (PKVY) since 2015-2016. Hence option a, b and d are incorrect. To promote natural resource based integrated and climate resilient sustainable farming systems that ensure maintenance and increase of soil fertility, natural resource conservation, on-farm nutrient recycling and minimize dependence of farmers on external inputs are the main objectives of the scheme

Q.50) Ans: d

Exp:

- **Statement 1 is correct**: GST Bill was first introduced in 2014 as The Constitution (122nd Amendment) Bill. This got an approval in 2016 and was renumbered in the statute by Rajya Sabha as The Constitution (101st Amendment) Act, 2016. GST has replaced various other indirect taxes that were imposed on goods and services before.
- **Statement 2 is correct**: Article 279A of the Constitution of India provides for formation of a GST Council to be formed by The President to administer & govern GST. The Chairman is the Union Finance Minister of India with ministers

Q.49) Ans: c

Exp:



nominated by the state governments as its members. The decisions of the council are taken by 3/4th majority with the centre having 1/3rd voting power and the states having 2/3rd.

- **Statement 3 is correct** : As per GST Notification 05/2021, e-Invoicing is compulsory to generate for entities whose aggregate turnover is more than 50 crore. Earlier this limit was 100 crore. But now the government has reduced the threshold value of e-invoices because they are trying to bring the medium to small scale companies under the mandate of invoices. CBIC has notified vide Central Tax Notification no.23 dated 1st June 2021 that the e-invoicing system shall not apply to a government department and local authority.

Q.51) Ans: B

Exp:

- The Goods and Services Tax (GST) is a value-added tax levied on most goods and services sold for domestic consumption. The GST is paid by consumers, but it is remitted to the government by the businesses selling the goods and services.
- **Option b is correct:** Fruits and vegetables, cereals, meat and fish (not frozen), potatoes and other edible tubers and roots, tender coconut, tea leaves, jaggery, coffee beans, ginger, turmeric, milk, curd are exempted goods under the GST exemption list.
- **Options a, c and d are incorrect:** Processed foods with longer shelf life will attract a higher rate of GST than ready to eat food products. For example plain roti or paratha will be taxed with a lower rate of GST than packed paratha and Milk in a tetra pack. Similarly fresh food items are exempted from GST but processed and canned food items are not.

Q.52) Ans: C

Exp:

- **Statement 1 is correct:** The RBI shall recommend the denominational values of the notes as well as the discontinuance of issue of notes (Section 24 of the Reserve Bank of India Act, 1934). Further, it is on the recommendation of the RBI that the Central government may declare that any series of bank notes shall cease to be legal tender (Section 26)
- **Statement 2 is correct:** Custodian of Foreign Reserves:-For the purpose of keeping the foreign exchange rates stable, the Reserve Bank buys and sells foreign currencies and also protects the country's foreign exchange funds. RBI sells the foreign currency in the foreign exchange market when its supply decreases in the economy and vice-versa. Currently, India has a Foreign Exchange Reserve of around US\$ 598 billion.
- **Statement 3 is incorrect** : To maintain price stability, inflation needs to be controlled. The Government of India sets an inflation target for every five years. RBI has an important role in the consultation process regarding inflation targeting. The current inflation-targeting framework in India is flexible in nature. The amended RBI Act provides for the inflation target to be set by the Government of India, in consultation with the Reserve Bank, once every five years.
- **Statement 4 is correct:** The Reserve Bank of India (RBI) is vested with the responsibility of conducting monetary policy. This responsibility is explicitly mandated under the Reserve Bank of India Act, 1934. The primary objective of monetary policy is to maintain price stability while keeping in mind the objective of growth.

Q.53) Ans: B

Exp:

- **Statement 1 is correct:** The RBI undertakes the responsibility of controlling credit created by commercial banks. RBI uses two methods to control the extra flow of money in the



economy. These methods are quantitative and qualitative techniques to control and regulate the credit flow in the country. When RBI observes that the economy has sufficient money supply and it may cause an inflationary situation in the country then it squeezes the money supply through its tight monetary policy and vice versa.

- **Statement 2 is correct:** Section 45 of Banking Regulation Act 1949 empowers the Reserve Bank to make a scheme of amalgamation of a bank with another bank if it is in the depositors' interest or in the interest of the overall banking system. Many private sector banks have been merged with other private sector banks or the PSBs under this mechanism. The power of winding up of banks lies in the hand of the Reserve bank of India. At the same time RBI can also apply for the winding up of the bank if it thinks fit for the bank. The Banking (Regulation) Act, 1949. The provision from Section 38 to 44 deals with the winding up procedure for banking companies.
- **Statement 3 is incorrect:** Banks Boards bureau is entrusted with search and select apposite personages for Board of Public Sector Banks, Public Sector Financial Institutions and Public Sector Insurance Companies and recommend measures to improve Corporate Governance in these Institutions.

Q.54) Ans: A

Exp:

- The Indian Companies Act 2013 replaced the Indian Companies Act, 1956. The Companies Act 2013 makes comprehensive provisions to govern all listed and unlisted companies in the country. The Companies Act 2013 implemented many new sections and repealed the relevant corresponding sections of the Companies Act 1956. This is a landmark legislation with far-reaching consequences on all companies incorporated in India.

- **Statement 1 is correct:** The Companies Act 2013 increased the number of maximum shareholders in a private company from 50 to 200.
- **Statement 2 is correct:** The Companies Act 2013 provides a new form of private company, i.e., one person company. It may have only one director and one shareholder. The Companies Act 1956 **requires minimum two** shareholders and two directors in case of a private company.
- **Statement 3 is incorrect:** The maximum number of persons/partners in any association/partnership may be upto such number as may be prescribed but not exceeding one hundred. This restriction will not apply to an association or partnership, constituted by professionals like lawyer, chartered accountants, company secretaries, etc. who are governed by their special laws. Under the Companies Act 1956, **there was a limit of maximum 20** persons/partners and there was no exemption granted to the professionals.
- **Statement 4 is correct:** Under the Companies Act 1956, a director had fiduciary (legal or ethical relationship of trust) duties towards a company. However, the Companies Act 2013 has defined the duties of a director.
- The other amendments include:
 - The Companies Act 2013 stipulates appointment of at least one woman Director on the Board (for certain class of companies).
- The Companies Act 2013 stipulates certain class of Companies to spend a certain amount of money every year on activities/initiatives reflecting Corporate Social Responsibility.
- The Companies Act 2013 proposes a fast track and simplified procedure for mergers and amalgamations of certain class of companies such as holding and subsidiary, and small companies after obtaining approval of the Indian government

Q.55) Ans: C

Exp:



- **State Rooftop Solar Attractiveness Index:** State Rooftop Solar Attractiveness Index – SARAL is an initiative of the **Ministry of New and Renewable Energy (MNRE)** and its partners to introduce a measuring scale or an index to evaluate and rank all states according to their performance, growth, level of maturity, policy framework, and implementation environment in the rooftop solar sector.
- **Health Index of India:** The health index has been developed by **NITI Aayog**, with technical assistance from the World Bank, in consultation with the Ministry of Health and Family Welfare.
- **AMFRI Index:** **NITI Aayog** has released the Agricultural Marketing & Farm Friendly Reforms Index (AMFFRI) 2019. The first-ever index was released in October. AMFFRI is an index which compares the status of reforms in the agriculture sector across all the states and UTs in the country.
- **Sustainable Tourism in Himalayan Region:** Sustainable Tourism in the Indian Himalayan Region released by the **NITI Aayog** in August this year, except for Sikkim and Himachal Pradesh, the environmental index of the rest of Himalayan states is very low. The report notes that the tourism and hospitality sector is a highly lucrative one as far as the Indian Himalayan Region (IHR) is concerned. The sector directly contributes about US\$ 71.5 billion to the nation's GDP.
- **Digital Payments Trends, Issues and Opportunities:** A report on Digital Payments was prepared by **NITI Aayog** and released in July 2017 for the first time. Primary objective of the report was to provide relevant data on the growth of digital payments so that policy makers can monitor the progress of digital payments in the country.

Q.56) Ans: C

Exp:

- **Statement 1 is incorrect:** Conventional flash sales by third party sellers are not banned on e-

commerce platforms. But, certain e-commerce entities are engaging in limiting consumer choice by indulging in “back to back” or “flash” sales wherein one seller selling on platform does not carry any inventory or order fulfilment capability but merely places a “flash or back to back” order with another seller controlled by platform. This prevents a level playing field and ultimately limits customer choice and increases prices.

- **Statement 2 is correct:** To ensure that the domestic manufacturers and suppliers get a fair and equal treatment on the e-commerce platform it has been provided that where an e-commerce entity offers imported goods or services, it shall incorporate a filter mechanism to identify goods based on country of origin and suggest alternatives to ensure fair opportunity to domestic goods.
- **Statement 3 is correct:** Framework for registration of every e-commerce entity with the DPIIT (Department for Promotion of Industry and Internal Trade) for allotment of a registration number which shall be displayed prominently on the website as well as invoice of every order placed by the e-commerce entity. This would help create a database of genuine e-commerce entities and ensure that the consumers are able to verify the genuineness of an e-commerce entity before transacting through their platform.

Q.57) Ans: A

Exp:

- **Option a is correct:** The New Arrangement to Borrow is the fund mobilization arrangement of the IMF to mobilise additional funds through borrowing from member countries. Under NAB, member countries and institutions can stand ready to lend to the Fund. The NAB is structured as a set of credit arrangements between the IMF and 38-member countries (can be changed) and institutions.



- The NAB was proposed for the first time at the 1995 G-7 Halifax Summit following the Mexican financial crisis. In January 1997, the IMF's Executive Board adopted a decision establishing the NAB, which became effective in November 1998.
- The NAB was revived in the context of the global financial crisis in 2009; to meet the lending requirements of the Eurozone crisis.

Q.58) Ans: A

Exp:

- **Option a is incorrect.** Asian Development Bank (ADB) was established in the year 1966, with head office at Manila (Philippines). It has 67 members from the Asia Pacific region. This bank was modeled on the lines of the world bank. Japan holds the largest share in ADB with 15.677%, followed by U.S.A (15.567%), China (6.473%), and India (5.812%). China is the largest shareholder followed by India in Asian Infrastructure and Invest Bank and not in ADB.
- ADB is committed to achieving a prosperous, inclusive, resilient, and sustainable Asia and the Pacific, while sustaining its efforts to eradicate extreme poverty. Established in 1966, it is owned by 68 members—49 from the region.
- ADB was conceived in the early 1960s as a financial institution that would be Asian in character and foster economic growth and cooperation in one of the poorest regions in the world. A resolution passed at the first Ministerial Conference on Asian Economic Cooperation held by the United Nations Economic Commission for Asia and the Far East in 1963 set that vision on the way to becoming reality.
- ADB's highest policy-making body is the Board of Governors, which comprises one representative from each member nation – 48 from the Asia-Pacific and 19 from outside the region. Hence option b, c and d are correct.

Exp:

- **Statement 1 is correct:** AIIB is a multilateral development bank focused on developing Asia, with members from all over the world, and invests in infrastructure and other productive sectors to foster sustainable economic development, create wealth and improve infrastructure connectivity.
- Membership to the bank is open to all members of the Asian Development Bank or the World Bank. The bank also allows non-sovereign entities to apply for membership provided their home countries are members.
- **Statement 2 is correct:** In 2018, AIIB was granted Permanent Observer status in the deliberations of both the United Nations General Assembly and the Economic and Social Council, the two development-focused principal organs of the global body

Q.60) Ans: A

Exp:

- **Option a is correct:** During the fifth BRICS summit in Durban (2013), the leaders agreed on the feasibility of establishing the New Development Bank and made the decision to do so. It was also agreed that the initial contribution to the Bank should be substantial and sufficient for it to be effective in financing infrastructure and finally during the sixth BRICS Summit in Fortaleza (2014), the leaders signed the Agreement establishing the New Development Bank (NDB).
- **Option b is incorrect:** Unlike the World Bank, which assigns votes based on capital share, in the New Development Bank each participant country will be assigned one vote, and none of the countries will have veto power.
- **Option c is incorrect:** "The Bank shall have an initial authorized capital of US\$ 100 billion. The initial subscribed capital shall be US\$ 50 billion, equally shared among founding members. The first chair of the Board of Governors shall be from Russia. The first chair of the Board of

Q.59) Ans: C



Directors shall be from Brazil. The first President of the Bank shall be from India. The headquarters of the Bank shall be located in Shanghai. The New Development Bank Africa Regional Center shall be established in South Africa concurrently with the headquarters." (Fortaleza Declaration)

- **Option d is incorrect:** Recently Government of India signed a \$304 million pact with AIIB for power transmission network in Assam. The fund will be utilised for the 'Assam Intra-State Transmission System Enhancement Project', aiming to improve reliability, capacity and security of the power transmission network in the state.

Q.61) Ans: C

Exp:

- **Option c is correct:** The Reserve Bank of India (RBI) releases House price index (HPI). It is a quarterly produced index. The HPI is calculated on base year 2010-11. The index is based on transaction level data received from housing registration authorities in ten major cities (viz., Ahmedabad, Bengaluru, Chennai, Delhi, Jaipur, Kanpur, Kochi, Kolkata, Lucknow and Mumbai). "The all-India HPI contracted by (-) 0.2 per cent on a sequential basis, largely due to decline in the house prices in Delhi, Bengaluru, Ahmedabad and Jaipur; Mumbai recorded the highest sequential rise," the statement said. However, on an annual basis, the all-India HPI increased by 3.9 per cent in the fourth quarter of 2019-20. The index had risen by 3 per cent in the previous quarter and 3.6 per cent in Jan-March 2019.

Q.62) Ans: B

Exp:

- **Option b is incorrect:** The Bank only finances sovereign governments directly or projects backed by sovereign governments. It provides loans, guarantees, advisory services, and risk management products to middle-income and

creditworthy low-income countries. It does not cater to the private entities.

- The International Bank for Reconstruction and Development (IBRD) is an international financial institution, established in 1944 and headquartered in Washington, D.C., United States, that is the lending arm of World Bank Group. The IBRD offers loans to middle-income developing countries. The IBRD is the first of five member institutions that compose the World Bank Group. The initial mission of the IBRD in 1944, was to finance the reconstruction of European nations devastated by World War II. The IBRD and its concessional lending arm, the International Development Association (IDA), are collectively known as the World Bank as they share the same leadership and staff.
- India is the largest IBRD client of the World Bank and is a founding member of IBRD. Infrastructural development of the Indian Railways was the first project undertaken with the help of IBRD just after independence and it became an important source of long-term funding for developmental projects.
- IBRD has maintained a triple-A credit rating since 1959. Its high credit rating allows it to borrow at low cost and offer middle-income developing countries access to capital on favorable terms in larger volumes, with longer maturity period.

Q.63) Ans: A

Exp:

- **Option a is correct:** In 1990, the World Bank introduced the concept of 'poverty line' to capture absolute poverty. As per the revised measures (2017), the World Bank defines extreme poverty as someone living on less than US\$1.90 per day. This figure is known as the International Poverty Line (IPL). The indicator "proportion of the population below the



international poverty line" is defined as the percentage of the population living on less than \$1.90 a day at 2011 international prices. The 'international poverty line' is currently set at \$1.90 a day at 2011 international prices.

Q.64) Ans: A

Exp:

- **Option a is correct:** Poverty trap is a spiraling mechanism which forces people to remain poor. It is so binding in itself that it doesn't allow the poor people to escape it. Poverty trap generally happens in developing and under-developing countries, and is caused by a lack of capital and credit to people. Many factors contribute to creating a poverty trap, including limited access to credit and capital markets, extreme environmental degradation (which depletes agricultural production potential), corrupt governance, capital flight, poor education systems, disease ecology, lack of public health care, war, and poor infrastructure.

Q.65) Ans: C

Exp:

- In economics, the Gini coefficient, also known as the Gini index or Gini ratio, is a measure of demographic distribution with the aim of projecting the income of a nation's populace. The Gini coefficient is the most commonly used estimation of inequality.
- **Statement 1 is correct:** The Gini index is a measure of the distribution of income across a population. A higher Gini index indicates greater inequality, with high-income individuals receiving much larger percentages of the total income of the population. Practically, the value falls between 0 and 1 for most countries. In countries with high inequality, the value would be close to 1.
- **Statement 2 is correct:** It is published by the World Bank. As per the World Bank, India's Gini Index is 35.2 (0.35) as of March 2020.

Q.66) Ans: D

Exp:

- **Rangarajan Committee:** In 2012, the Planning Commission constituted a new expert panel on poverty estimation, chaired by C Rangarajan with the following key objectives: (i) to provide an alternate method to estimate poverty levels and examine whether poverty lines should be fixed solely in terms of a consumption basket or if other criteria are also relevant; (ii) to examine divergence between the consumption estimates based on the NSSO methodology and those emerging from the National Accounts aggregates; (iii) to review international poverty estimation methods and indicate whether based on these, a particular method for empirical poverty estimation can be developed in India, and (iv) to recommend how these estimates of poverty can be linked to eligibility and entitlements under the various schemes of the Government of India.
- **Tendulkar Committee (2009):** In 2005, another expert group to review methodology for poverty estimation, chaired by Suresh Tendulkar, was constituted by the Planning Commission to address the following three shortcomings of the previous methods: (i) consumption patterns were linked to the 1973-74 poverty line baskets (PLBs) of goods and services, whereas there were significant changes in the consumption patterns of the poor since that time, which were not reflected in the poverty estimates; (ii) there were issues with the adjustment of prices for inflation, both spatially (across regions) and temporally (across time); and (iii) earlier poverty lines assumed that health and education would be provided by the State and formulated poverty lines accordingly.
- **NSSO's Mixed Recall Period** involves estimation of poverty using consumer expenditure data of 365 days recall period, for five infrequently purchased non food items such as
 - Clothing
 - Foot wear
 - Durable goods



- Education
- Institutional medical expenses , and a 30 day recall period for the remaining items.
- VM Dandekar and N Rath made the first systematic assessment of poverty in India in 1971, based on National Sample Survey (NSS) data from 1960-61. They argued that the poverty line must be derived from the expenditure that was adequate to provide 2250 calories per day in both rural and urban areas. This generated debate on minimum calorie consumption norms while estimating poverty and variations in these norms based on age and sex.
- Alagh Committee: In 1979, a task force constituted by the Planning Commission for the purpose of poverty estimation, chaired by YK Alagh, constructed a poverty line for rural and urban areas on the basis of nutritional requirements.
- Lakdawala Committee (1993): In 1993, an expert group constituted to review methodology for poverty estimation, chaired by DT Lakdawala, made the following suggestions: (i) consumption expenditure should be calculated based on calorie consumption as earlier; (ii) state specific poverty lines should be constructed and these should be updated using the Consumer Price Index of Industrial Workers (CPI-IW) in urban areas and Consumer Price Index of Agricultural Labour (CPI-AL) in rural areas; and (iii) discontinuation of 'scaling' of poverty estimates based on National Accounts Statistics. This assumes that the basket of goods and services used to calculate CPI-IW and CPI-AL reflect the consumption patterns of the poor

Q.67) Ans: C

Exp:

- The Lorenz curve is a graphical representation of the distribution of income or of wealth. It was developed by Max O. Lorenz in 1905 for

representing inequality of the wealth distribution.

- The Laffer Curve is a theory formalized by supply-side economist Arthur Laffer to show the relationship between tax rates and the amount of tax revenue collected by governments. The curve is used to illustrate the argument that sometimes cutting tax rates can result in increased total tax revenue
- **Option c is correct:** A curve used to demonstrate the hypothesis that economic growth initially leads to greater inequality, followed later by the reduction of inequality. The idea was first proposed by American economist Simon Kuznets. As economic growth comes from the creation of better products, it usually boosts the income of workers and investors who participate in the first wave of innovation. The industrialisation of an agrarian economy is a common example. This inequality, however, tends to be temporary as workers and investors who were initially left behind soon catch up by helping offer either the same or better products. This improves their incomes.
- The Engel curve describes how the spending on a certain good varies with household income. The shape of an Engel curve is impacted by demographic variables, such as age, gender, and educational level, as well as other consumer characteristics.

Q.68) Ans: B

Exp:

- The Phillips curve is an economic concept developed by A. W. Phillips stating that inflation and unemployment have a stable and inverse relationship. The theory claims that with economic growth comes inflation, which in turn should lead to more jobs and less unemployment
- **Option b is correct:** The Wage curve is the negative relationship between the levels of unemployment and wages that arises when these variables are expressed in local terms. Wage curve, in simple terms, summarises the



fact that a worker who is already employed in an area where the unemployment rate is high earns far less compared to an area or a region in the country where there are fewer jobs available. Labour supply is a function of wage rate. The higher the wage rate offered, the more the supply of labour evident. This happens because it gives an individual the incentive to work for some extra hours if the need arises..

- Beveridge Curve is a graphical representation that shows the relationship between the unemployment rate (on the horizontal axis) and the job vacancy rate (on the vertical axis) in an economy. It is named after British economist William Beveridge. The Beveridge curve usually slopes downwards because times when there is high job vacancy in an economy are also marked by relatively low unemployment since companies may actually be actively looking to hire new people. By the same logic, a low job vacancy rate usually corresponds with high unemployment as companies may not be looking to hire many people in new jobs.
- The Rahn Curve suggests that there is an optimal level of government spending which maximises the rate of economic growth. Initially, higher government spending helps to improve economic performance. But, after exceeding a certain amount of government spending, government taxes and intervention diminishes economic performance and growth rates.

Q.69) Ans: D

Exp:

- Unemployment is a situation in which individuals are ready and willing to work at the prevailing rate of wages but the individuals do not get work.
Number of unemployed = Labour force - Work force.
- National Sample Survey Organization (NSSO) defines employment and unemployment on the following activity statuses of an individual:
 - I. Working or being engaged in economic activity.

II. Being not engaged in economic activity and either making tangible efforts to seek 'work' or being available for 'work' if the 'work' is available and

III. Being not engaged in any economic activity and also not available for work.

Hence, all the given activity status are correct.

- Persons in the category I and II above are called labour force.
- Persons in the category I are called the workforce.

Q.70) Ans: C

Exp:

- **Option c is correct:** Unemployment trap is a situation when unemployment benefits discourage the unemployed from going to work. People find the opportunity cost of going to work too high when one can simply enjoy the benefits by doing nothing. While the purpose of social security and welfare systems is to provide relief to the unemployed, they end up providing them with an incentive not to return to work. An unemployment trap arises when the opportunity cost of going to work is higher than the income received, discouraging people from returning to work and being productive.

Q.71) Ans: D

Exp:

- **Statement 1 is Incorrect:** The Langa-Manganiyar artists **belong to Rajasthan**. Langa and Manganiyar are folk musicians who follow a rich oral tradition which they have inherited from their forefathers. These balladeers from Rajasthan sing of **everyday chores and emotions**. They become highly relatable and probably that is the reason why they are able to mesmerize their listeners. The word **Manganiyar means those who ask for charity**. On different occasions, they would go to the patron's house and sing songs and in turn, would be awarded. The Langas, which literally means a song giver, is a group of poets, singers, and musicians from the Barmer district of Rajasthan.



- **Statement 2 is correct:** The Manganiyar and Langa are both exclusively hereditary communities who make their living as musical performers and genealogists for higher-caste patrons. **Both groups are Muslim**, but the Langa's patrons are Muslim Sindhi Sipahis, whereas the Manganiyar's patrons are mainly Hindus.
- **Statement 3 is correct:** Both the groups sing in the same language but their styles differ. This difference of style came into existence as per the tastes of their patrons. Both the communities belong to the Islamic origins but many of their songs are in praise of Hindu deities. Similarly, they are known to celebrate Hindu festivals such as Diwali and Holi. The Manganiyar performers evoke the Hindu God Krishna and seek his blessings before the commencement of their music recital. Manganiyars have expertise over percussion instruments like Dholak and Khadtal, whereas Langas are known for Sarangi, Murali, Surnai, etc. Their musical compositions are masterpieces and are quite complex. The Langas are versatile players of the Sindhi Sarangi and the Algoza (double flute).

Reference:

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Q.72) Ans: D

Exp:

About State Nutrition Profile:

- NITI Aayog, in a joint effort with **International Food Policy Research Institute (IFPRI)**, **Indian Institute of Population Sciences (IIPS)**, **UNICEF** and **Institute of Economic Growth (IEG)** launched the "State Nutrition Profiles" for **19 States and Union Territories**.
- The 'State Nutrition Profiles' (SNPs) give insights on nutrition outcomes, immediate and

underlying determinants and interventions based on NFHS-rounds 3, 4 and 5(National Family Health Survey).

- The SNPs include a comprehensive compilation of crucial data that can positively affect policy decisions and facilitate research in the area.
- The trend analysis of key indicators such as **wasting, stunting, anemia, underweight and overweight and Noncommunicable diseases(NCDs)** (Diabetes and High blood pressure) showcase the variability of performance across districts.
- The SNPs are **based on the headcount-based analyses and use of data from NFHS-5** to provide evidence that helps identify priority districts and the number of districts in the state with public health concern as per WHO guidelines. Each SNP has incorporated key takeaways for children, women and men and identifies areas where the state has the potential to improve further.

Reference:

<https://pib.gov.in/PressReleasePage.aspx?PRID=1759889>

<http://poshan.ifpri.info/category/publications/data-notes/>

Q.73) Ans: C

Exp:

- **Statement 1 is Incorrect:** In December 2020, the **uncrewed Chinese probe** touched down on a previously **unvisited part** of a massive lava plain, the **Oceanus Procellarum** or "**Oceans of Storms**". Oceanus Procellarum is the largest of the **maria** ("seas"), stretching more than 2,500 km across its north-south axis and covering roughly 4,000,000 sq km, accounting for 10.5% of the total lunar surface area. The Oceanus Procellarum region of the Moon is characterised by **high concentrations of potassium, thorium, and uranium, elements that generate heat through long-lived radioactive decay** and may have sustained prolonged magmatic activity on the near side of the Moon.



- **Statement 2 is correct:** About 1,731 grammes of lunar samples were **retrieved and brought back to Earth** by Chang'e-5. Remnants of solidified lava brought back were **1 billion years younger** than material acquired by other missions decades ago. Samples brought back from **US and Soviet missions were more than 2.9 billion years old**. The samples acquired on **China's Chang'e-5 mission late last year are around 1.96 billion years old** and suggest that the volcanic activity persisted longer than previously expected.
- **Statement 3 is Incorrect:** The Chang'e-5 mission made China the **third country** to have ever **retrieved lunar samples** after the **United States and the Soviet Union**, which 45 years ago launched the last successful mission to acquire material from the moon. One of the main objectives of Chang'e-5, named after the mythical Chinese goddess of the moon, was to **find out how long the moon remained volcanically active**. China plans to launch the Chang'e-6 and Chang'e-7 lunar missions, also uncrewed, in the next five years to explore the south pole of the moon.

Reference:

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Q.74) Ans: A

Exp:

Statement 1 is correct: Bt cotton was introduced in India, Almost twenty years ago. This cotton crop is a plant variety of genetically modified cotton. **Strains of the bacterium *Bacillus thuringiensis* produce toxins that are harmful for a variety of insects** and it has been found to combat bollworm, moth larvae that commonly attack cotton crops. **The aim of introducing Bt cotton to India was to reduce the amount of insecticide needed in farming cotton.** Since the introduction of this plant, Bt cotton has been adopted widely across India. Today, most cotton grown in India uses Bt technology.

Estimates of Bt cotton adoption vary from state to state, but at least 80% of cotton grown in each of the nine cotton-growing states of India is Bt cotton.

- **Statement 2 is Incorrect:** India is **yet to approve commercial cultivation of a genetically modified food crop**. It has, however, cultivated multiple GM rice varieties at various stages of confined field trials. The government clarified that **India does not export genetically modified (GM) rice as there is no commercial variety of such crop in the country and its cultivation is also banned here**. The clarification from the commerce ministry came following a news report regarding food recall linked to alleged GM rice from India. India is exporting strictly non-GM rice.

Extra Edge by OnlyIas

About GM Crop:

- A GM or transgenic crop is a plant that has a novel combination of genetic material obtained through the use of modern biotechnology. For example, a GM crop can contain a gene(s) that has been artificially inserted instead of the plant acquiring it through pollination. The resulting plant is said to be "genetically modified".
- GM technology enables plant breeders to bring together in one plant useful genes from a wide range of living sources, not just from within the crop species or from closely related plants. This powerful tool allows plant breeders to do faster what they have been doing for years and generate superior plant varieties. Although it expands the possibilities beyond the limits imposed by conventional plant breeding.

Reference:

https://www.business-standard.com/article/current-affairs/india-is-exporting-strictly-non-genetically-modified-rice-central-govt-121102100051_1.html



<https://www.downtoearth.org.in/news/agriculture/gmo-rice-from-india-withdrawn-in-eu-indian-coalition-asks-for-action-79751>

<https://researchoutreach.org/articles/genetically-modified-cotton-how-changed-india/?cn-reloaded=1>

<https://www.isaaa.org/resources/publications/pocketk/1/>

Q.75) Ans: B

Exp:

About Yokohama strategy:

- The midterm review of the **IDNDR (International Decade for Natural Disaster Reduction)** paved the way for the increasingly proactive **risk-based prevention approach** promoted after the **first World Conference on Natural Disaster Reduction**.
- The conference was organised in the city of Yokohama, where participants adopted the Yokohama Strategy for a Safer World: Guidelines for Natural Disaster Prevention, Preparedness and Mitigation.
- In this strategy, the close links between risk, disaster reduction, sustainable development, environmental protection and poverty alleviation were made apparent. The emerging framework captured a broader global awareness of the social and economic drivers and consequences of natural disasters that developed as the IDNDR progressed.
- Serious risks were recognised to come from the rapidly increasing exposure and vulnerability of populations, particularly those in urban areas to natural events. In light of that, the term 'natural disaster' was deemed obsolete and largely avoided in subsequent documents.
- This strategy was the first internationally accepted document on disaster prevention and was seen as beneficial for countries suffering from disaster losses. It stressed that every country had the sovereign and primary responsibility to protect its people, infrastructure and national, social or economic assets from the impact of disasters.

- The strategy was widely welcomed but also criticised in terms of being largely aspirational; confirming member states intentions to improve collaboration and coordination in the disaster reduction sector.

Reference:

<https://www.thehindu.com/opinion/op-ed/stronger-at-the-grassroots/article36884992.ece>

<https://www.futurelearn.com/info/courses/disaster-risk-reduction/0/steps/92612>

Q.76) Ans: A

Exp:

About the Namami Gange program:

- 'Namami Gange Programme', is an Integrated Conservation Mission, approved as 'Flagship Programme' by the Union Government in June 2014 with a budget outlay of Rs.20,000 Crore to accomplish the **twin objectives of effective abatement of pollution, conservation and rejuvenation** of National River Ganga.
- Main pillars of the Namami Gange Programme are:-
 - Sewerage Treatment Infrastructure
 - River-Front Development
 - River-Surface Cleaning
 - Biodiversity
 - Afforestation
 - Public Awareness
 - Industrial Effluent Monitoring
 - Ganga Gram
- Its implementation has been divided into **Entry-Level Activities** (for immediate visible impact), **Medium-Term Activities** (to be implemented within 5 years) and **Long-Term Activities** (to be implemented within 10 years).
- At the Executive Committee meeting of the National Mission for Clean Ganga (NMCG), **Chacha Chaudhary** was declared as the mascot of the Namami Gange Programme.
- NMCG has been focusing on youth as part of its outreach and public communications efforts as they are the impellers of change. As a step



towards this NMCG has tied-up with **Diamond Toons** to develop and distribute comics, e-comics and animated videos. The content will be designed with the objective of bringing about **behavioral change amongst children towards Ganga and other rivers**.

- The total estimated budget for the project is **Rs. 2.26 Cr.**
- Initially, the comics will be launched in **Hindi, English and Bengali.**
- NMCG has always been into community engagement with special focus on youth and children. This association will be one more step towards it.

Reference:

<https://pib.gov.in/PressReleaseFramePage.aspx?PRID=1760082>

<https://nmcg.nic.in/NamamiGanga.aspx>

Q.77) Ans: A

Exp:

About United Nations Security Council

- The **United Nations Security Council has primary responsibility for the maintenance of international peace and security**. Under the Charter of the United Nations, all Member States are obligated to comply with Council decisions.
- **Permanent members can veto any substantive resolution**, including those on the admission of new member states to the United Nations or nominees for the office of Secretary-General.
- It has 15 Members, and **each Member has one vote**. Of which five are permanent: the People's Republic of China, the French Republic, the Russian Federation, the United Kingdom of Great Britain and Northern Ireland, and the United States of America. The remaining ten members are elected on a regional basis to serve a term of two years.
- **Statement 1 is correct:** The presidency of the Council is held by each of the **permanent and non-permanent members in turn for one**

month, following the English alphabetical order of the Member States names.

- **Statement 2 is incorrect:** The **head of the country's delegation** (not the executive head of the country) is known as the President of the United Nations Security Council.
- **Statement 3 is incorrect:** India has assumed the rotating Presidency of the United Nations Security Council for the month of August 2021. **This is India's tenth tenure as UNSC president.** This is also India's first presidency in the UNSC during its 2021-22 tenure (8th time) as a non-permanent member of the UNSC
- Its powers include establishing peacekeeping operations, enacting international sanctions, and authorizing military action.
- **The UNSC is the only UN body** with the authority to issue binding resolutions on member states.

Reference:

- <https://www.livemint.com/news/india/india-assumes-uns-c-presidency-this-is-what-russia-france-have-to-say-11627794766574.html>
- <https://thewire.in/diplomacy/fact-check-this-isnt-indias-first-uns-c-presidency>

Inspiration: PYQs on UN bodies. Ex: UNCAC (2019), UN Habitat

Q.78) Ans: A

Exp:

- **Statement 1 is correct:** In direct seeded rice (DSR) cultivation, raising of nursery for transplantation is done away with. It involves **sowing pre-germinated seed into a puddled soil surface** (wet seeding), **standing water** (water seeding) or **dry seeding into a prepared seedbed** (dry seeding). The development of **early-maturing varieties and improved nutrient management techniques** along with increased availability of chemical weed control methods has encouraged many farmers in India to switch from transplanted to DSR culture. This shift



should substantially reduce crop water requirements, soil organic-matter turnover, nutrient relations, carbon sequestering, weed biota and greenhouse-gas emissions.

- **Statement 2 is Incorrect:** It has the following advantages:
 - Saving water up to 25% in DSR.
 - Saving in energy up to 27% of diesel as pumping energy is saved for field preparation, nursery raising, puddling and reduced frequency of applying irrigation water.
 - Saving 35 to 40 man days / ha.
 - Enhanced fertilizer use efficiency due to placement of fertilizer in the root zone.
 - Early maturity of crops by 7-10 days helps in timely sowing of succeeding crops.
 - Reduction in methane emissions and global warming potential.
 - Little disturbance to soil structure.
 - Enhanced system productivity.

Reference:

<https://www.sciencedirect.com/science/article/pii/S0167198710001960#>:
<https://vikaspedia.in/agriculture/crop-production/crop-management-for-aberrant-weather-conditions/smart-practices-technologies/direct-seeded-rice-for-promoting-water-use-efficiency>
<https://www.tribuneindia.com/news/punjab/6-lakh-hectares-under-direct-seeding-of-rice-in-punjab-highest-so-far-293120>

Q.79) Ans: A

Exp:

About Bharat Mata Painting:

- **Bharat Mata** is a work painted by the Indian painter **Abanindranath Tagore** in 1905.
- The painting's central figure **holds multiple items associated with Indian culture and the economy of India** in the early twentieth century, such as a **book, sheaves of paddy, a piece of white cloth and a garland**. Moreover,

the painting's **central figure has four hands, evocative of Hindu imagery**, which equates multiple hands with immense power.

- The painting has been characterized as "**an attempt of humanisation of 'Bharat Mata' where the mother is seeking liberation through her sons,**" by **Jayanta Sengupta**, curator of the Indian Museum in Kolkata, India.
- The painting was the **first illustrated depiction** of the concept, and was painted with Swadeshi ideals during the larger Indian Independence movement.
- Since 1905, many iterations of the Bharat Mata have been made in paintings and other forms of art. However, the significance of Tagore's original painting is still recognized. In 2016, **Bharat Mata was put on display at the Victoria Memorial Hall in Kolkata, India.**
- To celebrate **Abanindranath Tagore's 150th birth anniversary, Victoria Memorial and DAG have collaborated** to curate an **online festival** to highlight the lesser known facets of the icon.

Reference:

<https://timesofindia.indiatimes.com/city/kolkata/online-festival-to-take-a-peek-into-the-lesser-known-abanindranath/articleshow/85113591.cms>
[https://en.wikipedia.org/wiki/Bharat_Mata_\(painting\)](https://en.wikipedia.org/wiki/Bharat_Mata_(painting))

Q.80) Ans: B

Exp:

- **Statement 1 is Incorrect:** e-RUPI is basically a **digital voucher** which a beneficiary gets on his phone in the **form of an SMS or QR code**. It is a **pre-paid voucher**. This will essentially be like a **prepaid gift-voucher** that will be **redeemable at specific accepting centres without any credit or debit card, a mobile app or internet banking**. e-RUPI will connect the sponsors of the services with the beneficiaries and service providers in a **digital manner without any physical interface**. e-RUPI is expected to ensure a **leak-proof delivery of welfare services**. It can also be used



for delivering services under schemes meant for providing drugs and nutritional support under Mother and Child welfare schemes, TB eradication programmes, drugs & diagnostics under schemes like Ayushman Bharat Pradhan Mantri Jan Arogya Yojana, fertiliser subsidies etc.

- **Statement 2 is correct:** The National Payments Corporation of India (NPCI), which oversees the digital payments ecosystem in India, has launched e-RUPI, a voucher-based payments system to promote cashless transactions. It has been developed in collaboration with the Department of Financial Services, Ministry of Health & Family Welfare and National Health Authority. NPCI has partnered with 11 banks for e-RUPI transactions. To begin with, NPCI has tied up with more than 1,600 hospitals where e-RUPI can be redeemed.

- **Statement 1 is correct:** Union finance minister Nirmala Sitharaman has launched the **Ubharte Sitaare Fund (USF)** for export-oriented small and mid-sized companies and startups. Fund was announced in the Budget speech in 2020 in the backdrop of constraints faced by small and mid-sized companies in realising their export ambitions. The fund, jointly sponsored by **Exim Bank and SIDBI**, has a size of **Rs 250 crore with a green shoe option of Rs 250 crore**. The fund will invest by way of equity, and equity-like products, in export-oriented units, both in the manufacturing and services sectors.
- **Statement 2 is Incorrect:** "Ubharte Sitaare Fund" has been launched to help micro, small and medium enterprises (MSMEs) which could be future champions with good export potential. The objectives of the programme are to enhance India's competitiveness in select sectors through finance and extensive handholding support; identify and nurture companies having differentiated technology, products or processes, and enhance their export business; assist units with export potential, which are unable to scale up their operations for want of finance; identify and mitigate challenges faced by successful companies which hinder their exports; and assist existing exporters in widening their basket of products and target new markets through a strategic and structured export market development initiative.

Extra Edge by OnlyIas

How is e-RUPI different than a digital currency:

- e-RUPI is still backed by the existing Indian rupee as the underlying asset and
- Specificity of its purpose makes it different to a virtual currency and puts it closer to a voucher-based payment system.
- Also, the ubiquitousness of e-RUPI in the future will depend on the end-use cases.

Reference:

<https://indianexpress.com/article/explained/what-is-e-rupi-digital-currency-india-pm-modi-7433637/>

<https://pib.gov.in/PressReleasePage.aspx?PRID=1743056>

<https://www.india.gov.in/spotlight/e-rupi-digital-payment-solution>

Reference:

<https://pib.gov.in/PressReleaseDetail.aspx?PRID=1749046>

<https://www.livemint.com/news/india/finance-minister-launches-ubharte-sitaare-scheme-for-export-oriented-msmes-11629555134446.html>

<https://www.financialexpress.com/industry/sme/ubhar-te-sitaare-fund-rs-250-crore-export-oriented-fund-for-msmes-launched/2315113/>

Q.81) Ans: A

Exp:



Q.82) Ans: D

Exp:

About the PESA Act:

- **Panchayats (Extension to Scheduled Areas) Act, 1996** or PESA is a law enacted by the Government of India to cover the "**Scheduled areas**", which are not covered in the **73rd amendment act**, also known as Panchayat Raj Act.
- It is an Act to provide for the **extension of the provisions of Part IX of the Constitution** relating to the Panchayats to the Scheduled Areas
- It is considered to be the **backbone of tribal legislation** in India.
- According to the act, every village shall contain a **grama sabha** whose members are included in the electoral list for the panchayats at village level.
- The act also conferred absolute **powers to the Gram Sabha**, whereas the state legislature was given an advisory role to ensure the proper functioning of Panchayats and Gram sabhas.
- The power delegated to Gram Sabhas cannot be curtailed by a higher level, and there shall be independence throughout.
- **Following powers and functions have been provided to the Gram Sabhas:**
 - PESA aims in protection of traditional belief, the culture of the tribal communities
 - The act also aims to exercise control over money-lending.
 - Prevention of land alienation is also a subject matter of the PESA Act.
 - Management and protection of the common properties based on their traditions.
 - Resolution of the local disputes
 - Management of village market.
 - Right to control production, distillation, and prohibition of liquor
 - Resolution of the local disputes

- Any other rights involving the Scheduled Tribes.

Reference:

[Collapse of Adivasi self-governance system in Jharkhand: Need to implement PESA in letter and spirit \(downtoearth.org.in\)](#)

Q.83) Ans: C

Exp:

- **Pair 1 is correctly matched:** Pulichintala Project also known as **KL Rao Sagar Pulichintala Project** is a multi-purpose project located in **Andhra Pradesh** on the River. **River Krishna** rises from the Western Ghats near Jor village of Satara district of **Maharashtra**. Ghatprabha, Malprabha and the Tungabhadra are the right bank tributaries while the Bhima, Musi and Munneru are the left bank tributaries of River Krishna.
- **Pair 2 is not correctly matched:** The Tapovan Vishnugad Hydropower Plant is a 520 MW run-of-river hydroelectric project being constructed on **Dhauliganga River** in Chamoli District of **Uttarakhand**, India. The plant is expected to generate over 2.5 TWh of electricity annually. Dhauliganga rises in the vicinity of the **Niti Pass** in the border regions between Garhwal and southwestern Tibet. It joins the **Alaknanda**, the major source stream of the Ganges river.
- **Pair 3 is correctly matched:** The Karcham Wangtoo Hydroelectric Plant is a 1,091 megawatts run-of-the-river hydroelectric power station on the **Satluj River** in Kinnaur district of **Himachal Pradesh**. **Satluj** rises from the **Mansarovar-Rakas Lakes** in western Tibet. Before entering the Punjab plain, it cuts a **gorge** in Naina Devi Dhar, where the famous **Bhakra dam** has been constructed. According to the **Indus Water treaty**, India can utilize **only 20 percent** of its total discharge of water.
- **Pair 4 is not correctly matched:** Jangi Thopan Powari Hydro-electric Project (JTPHEP) plant of



804 MW capacity in district Kinnaur, **Himachal Pradesh**. It is a run of the river type project proposed to harness the hydel potential of the river Satluj.

Reference:

[High alert as P'chintala project gate collapses- The New Indian Express](#)

[Explained | Why are hydropower projects in the Himalayas risky? - The Hindu](#)

[Kinnaur landslide: Villagers up the ante in the battle against hydropower projects - Gaonconnection | Your Connection with Rural India](#)

Q.84) Ans: B

Exp:

About SAMRIDH Programme:

Recently, the **Ministry of Electronics & Information Technology (MeitY)** has launched the '**Start-up Accelerators of MeitY for pRoduct Innovation, Development and growth (SAMRIDH)**' programme.

- It aims to create a conducive **platform to Indian Software Product start-ups** to enhance their products and secure investments for scaling their business
- It focuses on accelerating the 300 start-ups by providing customer connect, investor connect, and international immersion in the next 3 years.
- Providing investment of up to Rs 40 lakh to the start-up based on current valuation and growth stage of the Start-Up by select accelerators.
- It is Being implemented by **MeitY Start-up Hub (MSH)**
- Acting as a national coordination, facilitation and monitoring centre, MSH will integrate all the start-ups, incubation centres and innovation-related activities of Meity.

EXTRA EDGE BY ONLY IAS:

- **Statement A: SAMVAD Initiative** = Ministry of Women and Child Development has launched the SAMVAD programme: Support, Advocacy & Mental health interventions for children in Vulnerable circumstances and Distress (SAMVAD). It is aimed at **mental health outreach for children** who are abandoned and orphaned, child survivors of trafficking, or in conflict with law. It is funded by MoW&CD and implemented by the National Institute of Mental Health and Neuro Sciences (NIMHANS).
- **Statement C: PM-DAKSH Scheme**; Ministry of Social Justice and Empowerment has launched 'PM-DAKSH' (Pradhan Mantri Dakshta Aur Kushalta Sampann Hitgrahi) Portal to make the **skill development schemes accessible to the target groups** - Backward Classes, Scheduled Castes and SafaiKaramcharis.
- **Statement D: e-Shram portal**. The Ministry of Labour and Employment launched the e-Shram portal. It aims to register 38 crore unorganised workers such as construction labourers, migrant workforce, street vendors, and domestic workers, among others. They will be issued **an e-Shram card** containing a **12-digit unique number**. If a worker is registered on the eSHRAM portal and meets with an accident, he will be eligible for Rs 2.0 Lakh on death or permanent disability and Rs 1.0 lakh on partial disability.

Q.85) Ans: B

Exp:

- **Pair 1 is not correctly matched:** India conducted **OPERATION DEVI SHAKTI** to evacuate more than 800 people including its citizens and Afghan partners from **Afghanistan**.

- Afghanistan is a **multiethnic landlocked** country located in the **heart of south-central Asia**
- It's largest city and capital is **Kabul** and is inhabited by ethnic **Pashtuns, Tajiks, Hazaras, and Uzbeks**
- One of the most famous routes to the Indian subcontinent, **The Khyber Pass**, is located in Afghanistan in the **Hindukush mountain ranges**.
- The **International North-South Transport Corridor (INSTC)** is a 7,200-km-long multi-mode network of ship, rail, and road route for moving freight between **India, Iran, Afghanistan, Azerbaijan, Russia, Central Asia and Europe**
- **Pair 2 is correctly matched: Operation Sukoon**, 2006 was conducted to evacuate Indian, Sri Lankans and Nepalese from war hit **Lebanon**.
 - Recently, a massive explosion took place in **Beirut**, capital of Lebanon, which left thousands of people dead. The explosion was triggered by over 2,700 tonnes of **ammonium nitrate**.
 - In India, As per **The Explosives Act, 1884**, Storage of ammonium nitrate in large quantities in populated areas is **illegal in India**.
- **Pair 3 is correctly matched: Operation safe homecoming**, 2011, was conducted to evacuate Indian citizens fleeing from the **civil war of Libya**.
 - Libya was ruled by **Muammar Gaddafi** for 42 years from 1969 to 2011 by proclaiming the new **Libyan Arab Republic**.
 - In 2011, the first civil war broke out in Libya against the regime of Gaddafi. This war was a part of a series of anti-dictatorial protests in countries of the Arab world like Tunisia, Morocco, Iraq, Algeria, Lebanon, Jordan etc, known as the **Arab Springs**.

- **Pair 4 is correctly matched: Operation Raahat**, 2015 was conducted to evacuate Indian as well as foreign citizens from the conflict in **Yemen**.
 - The conflict is mainly between the **Abdrabbuh Mansur Hadi**-led Yemeni government and the **Houthi** armed movement.
 - Houthis are an **Islamist political and armed movement** that emerged from Sa'dah in northern Yemen in the 1990s.
 - **NOTE: Operation Maitri**: It was a rescue and relief operation in Nepal carried out by the government of India and Indian armed forces in the aftermath of the April 2015 **Nepal earthquake**.

Q.86) Ans: C

Exp:

Afghanistan does not share a border with Kazakhstan, Kyrgyzstan and Iraq.

About Afghanistan:



- Afghanistan enjoys a **strategic location** in South Asia and is particularly relevant to India as a geographical neighbor. A stable Afghanistan can act as a connecting link between India-West Asia, India-Central Asia and India's further integration with Eurasia.



- The region centered on Afghanistan is considered the “**crossroads of Asia**”, and the country has had the nickname **Heart of Asia**.
- **Major Cities:** KABUL (capital), Kandahar, Herat, Mazar-i-Sharif.
- **Climate:** Arid to semiarid; cold winters and hot summers.
- **Major Landforms:** Mount Nohshaq, HinduKush Mountain Range, Pamir Mountains, Khyber Pass, Wakhan Corridor.
- **Major rivers:** Kabul River, Amu Darya, Harirud River, and the Helmand River.
- **Natural Resources:** Natural gas, petroleum, coal, copper, chromite, talc, etc.
- The **International North–South Transport Corridor (INSTC)** is a 7,200-km-long multi-mode network of ship, rail, and road routes for moving freight between **India, Iran, Afghanistan, Azerbaijan, Russia, Central Asia and Europe**. Fig: INSTC

Q.87) Ans: B

Exp:

- **Statement 1 is correct:** DICGC came into existence in 1978 after the merger of **Deposit Insurance Corporation (DIC)** and **Credit Guarantee Corporation of India Ltd. (CGCI)** after the passing of the Deposit Insurance and Credit Guarantee Corporation Act, 1961 by the Parliament. It is a **wholly-owned subsidiary of the RBI** that provides an insurance cover on bank deposits.
- **Statement 2 is incorrect:** DICGC is headed by the **Deputy governor of RBI**. Hence option 2 is incorrect.
- As per the **DICGC Act**, the Board shall consist of, besides the Chairman, (i) one Officer (normally in the rank of Executive Director) of the RBI, (ii) one Officer from the Central Government, (iii) **five Directors** nominated by the Central Government in consultation with the RBI.
- **Statement 3 is correct:** It insures all bank deposits, such as saving, fixed, current,

recurring, etc., up to a limit of **Rs. 5 lakh per account holder per bank**. However it **does not cover the following types of deposits:**

- Deposits of foreign Governments.
- Deposits of Central/State Governments.
- Inter-bank deposits.
- Deposits of the State Land Development Banks with the State co-operative banks.
- Any amount due on account of any deposit received outside India.
- Any amount which has been specifically exempted by the corporation with the previous approval of the RBI.

Reference

: [‘Deposits up to ₹5 lakh in ailing banks to be repaid in 90 days’ - The Hindu](#)

Q.88) Ans: D

Exp:

- **Statement 1 and 2 are correct:** The National Financial Reporting Authority (NFRA) was constituted in **2018** by the Government of India under the **Companies Act, 2013**. It is administered by the **Ministry of Corporate Affairs** under the Government of India to **regulate the auditing standards in the country**.

COMPOSITION: The NFRA is composed of one Chairperson, three full-time Members and one Secretary. The chairperson shall be a person of eminence and having expertise in accountancy, auditing, finance or law to be appointed by the Central Government.

- **Statement 3 is correct:** It monitors and enforces compliance with **accounting standards and auditing standards**.
- **OTHER POWERS AND FUNCTIONS OF NFRA:**
 - Enforce compliance with accounting/auditing standards and



undertake **investigation of the auditors of listed and unlisted companies;**

- **Protect the public interest** and the interests of investors, creditors and others associated with the companies.
- It recommends **accounting and auditing policies** and standards to be adopted by companies for approval by the Central Government.
- Its account is monitored by the **Comptroller and Auditor-General of India.**

• **Significance of NFRA:**

- India is now eligible to become a member of the **International Forum of Independent Audit Regulators (IFIAR)**, which was denied until now for want of an independent audit oversight body in the country
- It will **attract foreign/domestic investments** and enhance **economic growth.**

Reference:

<https://pib.gov.in/PressReleaseframePage.aspx?PRID=1716834>

Q.89) Ans: A

Exp:

A stablecoin :

- **Stablecoin** is a type of cryptocurrency. Stablecoins are a type of digital asset designed to maintain a stable value relative to a national currency or other reference assets.
- The majority of the dozens of stablecoins that currently exist use the dollar as their benchmark asset, but many are also pegged to other fiat currencies issued by governments like the euro and yen.
- Stablecoins achieve their price stability via collateralization (backing) or through algorithmic mechanisms of buying and selling the reference asset or its derivatives.

- As a result, the price of stablecoins fluctuates very little, unlike high-profile cryptocurrencies like bitcoin and ethereum that are prone to sudden ups and downs.
- *Stablecoins are useful because they allow people to transact .*

Source

<https://www.investopedia.com/terms/s/stablecoin.asp>

Q.90) Ans: C

Exp:

'Baijayant Panda Committee '

- It is a high-level expert committee constituted by the **Defence Ministry.**
- It aims to **comprehensively review the National Cadet Corps (NCC).**
- Objectives of the Committee:
 - Committee is to suggest measures to empower NCC cadets to contribute more effectively towards nation building.
 - To propose ways for gainful engagement of NCC Alumni for betterment of the organization.
 - To recommend best practices of similar international youth organisations for inclusion in the NCC curriculum.

Source

<https://www.aninews.in/news/national/general-news/j-k-high-level-expert->

Q.91) Ans: B

Exp:

- **Statement 1 is incorrect** : Samvatsari 'festival' is a festival **celebrated by the Jain community** , especially the Shwetambara sect. It is the last day of an eight-day observance of prayers called Paryushan Parva or Paryushana. It falls on Shukla Panchami each year in the Jain calendar month of Bhadrapada (Middle of August and September in the Gregorian calendar).



- **Statement 2 is correct** : Samvatsari is also known as the **Day of Forgiveness**. Jains are said to perform a penitential retreat called "samvatsari pratikramana" after which they seek forgiveness from others. Samvatsari is also called Kshamavani.

Source : <https://www.bankbazaar.com/indian-holiday/samvatsari.html>

Q.92) Ans: C

Exp:

- **Statement 1 is correct** : Recently, the US Special Presidential Envoy for Climate, along with India's Union Minister for Environment, Forests and Climate Change **launched the Climate Action and Finance Mobilisation Dialogue (CAFMD) between the two countries**.
- **Statement 2 is correct** : It will provide both India and the United States an opportunity to renew the collaboration on climate change. It will also address the financial aspects. It will deliver climate finance primarily as grants and concessional finance, as envisaged under the Paris Agreement for strengthening climate action.

Source:

<https://www.livemint.com/news/india/india-us-to-launch-climate-action-and-finance-mobilisation-dialogue/amp-11631318641136.html>

Q.93) Ans: D

Exp:

T+1 settlement system:

- 'The settlement cycle' in stock markets refers to the time between the trade date. **Securities and Exchange Board of India (SEBI)** has offered a T+1 settlement system for stock Market exchanges.

- SEBI has given the option to exchanges to adopt T+1 settlement based on their readiness from the year 2022.
- If the stock exchange agrees to the proposal, investors will get money for shares they sold or bought in their accounts.
- This will be a faster , *safer and risk-free environment*.

What are T+1 (T+2, T+3) cycles?

- T+1 (T+2, T+3) are abbreviations that refer to the settlement date of security transactions.
- The "T" stands for transaction date, which is the day the transaction takes place.
- The numbers 1, 2, or 3 denote how many days after the transaction date the settlement or the transfer of money and security ownership takes place.

Source : <https://www.livemint.com/cdn.ampproject.org/v/s/www.livemint.co>

Q.94) Ans: A

Exp:

Turtle Survival Alliance (TSA) :

- The **Turtle Survival Alliance (TSA)** was formed in **2001** as an **International Union for Conservation of Nature (IUCN)** partnership for sustainable captive management of freshwater turtles and tortoises.
- Initially it was designated a Task Force of the IUCN Tortoise and Freshwater Turtle Specialist Group.
- It was organized in **2001 in response to the Asian Turtle Crisis**. It has since become a recognized force in turtle and tortoise conservation globally.
- It will help to reduce the rampant and unsustainable harvest of Asian turtle populations to supply Chinese markets.
- It aims to ' **Zero Turtle Extinctions in the 21st Century**'.



Extra Edge by Only IAS

The KURMA App :

- It is a **mobile-based application** aimed at **turtle conservation**. It was launched on the occasion of World Turtle Day (23rd May).
- It is developed by the Indian Turtle Conservation Action Network (ITCAN) in collaboration with the Turtle Survival Alliance-India and Wildlife Conservation Society-India.
- The KURMA App has a built-in digital field guide covering 29 species of freshwater turtles and tortoises of India, and information on turtle identification, vernacular names, and threats.
- It provides users a database to identify a species.

Source : <https://turtlesurvival.org/turtle-conservation/projects/tsaindia/>

Q.95) Ans: A

Exp:

'Manda buffalo':

- Recently, The **National Bureau of Animal Genetic Resources (NBAGR)** has recognised the **Manda buffalo** as the **19th unique breed of buffaloes** found in India.
- They are small, sturdy buffaloes used for ploughing in their native habitat of Koraput, Malkangiri and Nabarangpur districts. The Manda are **resistant to parasitic infections, less prone to diseases** and can thrive on modest resources.
- It is found in the **Eastern Ghats and plateau of the Koraput region of Odisha**.
- These buffaloes have ash grey and grey coats with copper-coloured hair. The lower part of the legs up to the elbow is light in colour with copper-colored hair at the knee.
- Some buffalos are silver white in colour.
- The state and the Centre will make efforts to conserve this unique buffalo genetic resource of Odisha and enhance their productivity through a breeding strategy.

Extra Edge by OnlyIAS

National Bureau of Animal Genetic Resources (NBAGR)

- Indian Council of Agricultural Research (ICAR) - National Bureau of Animal Genetic Resources, Karnal (ICAR-NBAGR) is the nodal agency for the registration of newly identified germplasm of livestock and poultry of the country.
- Its mandate includes Identification, Evaluation, Characterization, Conservation and sustainable Utilization of Livestock and Poultry Genetic Resources.

Q.96) Ans: C

Exp:

'Pollen Calendar':

- The Post Graduate Institute of Medical Education and Research (PGIMER) and Panjab University have come up with India's first city-based pollen calendar for Chandigarh.
- Pollen calendars are **graphical representations of the time dynamics of airborne pollen taxa** in a certain geographic area.
- They are location-specific, with concentrations strongly tied to the flora found in the area.
- They provide **easy-to-understand visual information on diverse airborne pollen species** that are present throughout the year, as well as their seasonality, in a single image.

Significance of Pollen :

- Pollen grain plays the role of fertilization but when inhaled by humans it can cause respiratory problems and allergies.
- Pollen that remains suspended in air causes conditions like nasobronchial allergy, bronchial irritation, asthma, and seasonal rhinitis.
- About 20-30 percent of the Indians suffer from allergic rhinitis/hay fever in India.
- Pollen is considered a major outdoor airborne allergen responsible for allergic rhinitis, asthma, and atopic dermatitis in humans.
- These calendars can identify potential allergy triggers and provide a clear understanding for

clinicians as well as allergy sufferers about their causes to help limit their exposure during high pollen loads.

Source :

<https://www.financialexpress.com/lifestyle/science/cha-ndigarh-gets-first-pollen-calendar-heres-what-it-is-and-how-it-is-helpful-for-prevent-allergy/2326602/lite/>

Q.97) Ans: C

Exp:

Qeqertaq Avannarleq :



- It is a tiny, uninhabited and previously unknown island discovered recently off the coast of Greenland. It has now become the new northernmost piece of land on Earth.
- Before this, 'Qoodaaq' was marked as the Earth's northernmost terrain.
- It is made up of seabed mud and moraine, i.e. soil, rock and other material left behind by moving glaciers, and has no vegetation.
- The discovery comes as a battle is looming among Arctic nations, the US, Russia, Canada, Denmark and Norway for the control of the North Pole and of the surrounding seabed, fishing rights and shipping routes exposed by melting ice due to climate change.

Source :

<https://indianexpress.com/article/explained/new-island-near-greenland-qeqertaq-avannarleq-7497856/lite/>

Q.98) Ans: C

Exp:

'Pradhan Mantri Gramin Digital Saksharata Abhiyan (PMGDISHA) ' :

- The Ministry of Electronics and Information Technology, Government of India implements a scheme titled "Pradhan Mantri Gramin Digital Saksharata Abhiyan (PMGDISHA)" under Digital India programme to usher in digital literacy in rural India by covering 6 crore rural households (one person per household) by 31.03.2022. .
- The Scheme is **applicable only for rural areas of the country**. Under the campaign, a three day certification drive for rural citizens, especially women and disadvantaged communities, will be conducted for a few days in September 2021.
- The Scheme aims to bridge the digital divide, specifically targeting the rural population including the marginalised sections of society like Scheduled Castes (SC) / Scheduled Tribes (ST), Minorities, Below Poverty Line (BPL), women and differently-abled persons and minorities.
- It will be reaching to around 40% of rural households by covering one member from every eligible household .

Source : <https://www.pmgdisha.in/about-pmgdisha/>

Q.99) Ans: C

Exp:

- Option C is correct: Declaration and management of a conservation reserve, as per THE WILD LIFE (PROTECTION) ACT, 197, - (1) The State Government may, after having consultations with the local communities, declare any area owned by the Government



particularly the areas adjacent to National Parks and sanctuaries and those areas which link one protected area with another, as a conservation reserve for protecting landscapes, seascapes, flora and fauna and their habitat: Provided that where the conservation reserve includes any land owned by the Central Government, its

prior concurrence shall be obtained before making such declaration.

Source: THE WILD LIFE (PROTECTION) ACT, 1972

Q.100) Ans: C

Exp:

Hydrogen

Hydrogen is an invisible gas. Despite their colourful descriptions, there is no visible difference between the different types of hydrogen. However, the gas is designated with different colours **based on different kinds of technology** used to produce it.

Brown Hydrogen	Hydrogen made from fossil fuels through the process of ' gasification ' is sometimes called black or brown hydrogen interchangeably
Green Hydrogen	Green Hydrogen is produced from renewable energy sources, such as solar or wind power, to electrolyse water. It is called Green because of Zero-Carbon emissions in their production.
Blue Hydrogen	Blue hydrogen is produced from natural gas , using a process called steam reforming , which brings together natural gas and heated water in the form of steam. This also produces carbon dioxide as a by-product.
Pink Hydrogen	Pink hydrogen is generated through electrolysis powered by nuclear energy . It can also be referred to as purple hydrogen or red hydrogen .
Turquoise Hydrogen	Turquoise hydrogen is made using a process called methane pyrolysis to

	produce hydrogen and solid carbon . This is a new entry in the hydrogen colour charts and production has yet to be proven at scale.
Yellow Hydrogen	Hydrogen made through electrolysis using Solar energy is known as Yellow Hydrogen
White Hydrogen	White hydrogen is naturally-occurring geological hydrogen found in underground deposits and is formed through fracking . We are yet to develop technology to exploit this hydrogen at present.

Reference: [Green hydrogen, a new ally for a zero carbon future - The Hindu](#)